BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

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CASE NOS. 25-E-0072 AND 25-G-0073

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

CUSTOMER OPERATIONS PANEL REBUTTAL TESTIMONY

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I. Introduction

Q. Please state your names.

A. Michael Murphy, Rebecca Roberts, Khadedra Hall, Eric Mastroianni, Matthew Sexton, Jon Minners, and Robert Buck.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. In the Company's initial and update testimony, we testified as the Customer Operations Panel. Michael Murphy also submitted initial and update testimony, and is today also submitting rebuttal testimony, as a member of the Information Technology Panel.

Q. What is the purpose of this testimony?

A. In this testimony, we will provide testimony rebutting, among other issues, the following:

- Recommendations by the Department of Service Staff that the Public Service Commission reject funding critical to providing customers with quality service and addressing the Company's unprecedented levels of customer arrears.
- Recommendations by Staff and New York City to increase several performance targets in and potential penalties under the Company's Customer Service Performance Mechanism.

- Operational concerns and recommendations by rate case parties related to billing and metering, the Company's Energy Affordability Program (EAP), protections for vulnerable customers, and other matters.

Q. In this testimony, will this Panel refer to any information provided during the discovery phase of this proceeding?

A. Yes. We will refer to information that the Company provided in response to information requests from Staff and intervenors. The Company has prepared an exhibit entitled Exhibit__(CO-16) Company Information Request Responses. The Company will also reference Staff and party interrogatory responses in Exhibit__(CO-17) Intervenor Information Request Responses.

Q. Has the Company prepared any other new exhibits?

A. Yes, the following additional exhibits are referenced throughout this testimony as listed below:

- Exhibit__(CO-18) January-May 2025 Arrears FTE Impact Analysis
- Exhibit__(CO-19) PIR Report Data
- Exhibit__(CO-20) Calls Per Delivered Arrears Email
- Exhibit__(CO-21) Contact Center FTE Reduction Impacts

- Exhibit__(CO-22) Customer Assistance Posting and Hiring Data
- Exhibit__(CO-23) QRS Complaints by Month and YOY
- Exhibit__(CO-24) Call Answer Rate Under New Methodology Comparison
- Exhibit__(CO-25) NYPA Billing Data

II. Supporting Core Customer Service Activities

A. Arrears Management Program

Q. What was the Staff Customer Service Panel's recommendation regarding the Company's proposed changes to its arrears management program?

A. Staff recommended "right-sizing the number of FTEs to the Company's pre-COVID levels to a total headcount of 160 FTEs dedicated to field collection activities, which includes the 79 FTEs from the historic test year." This recommendation would result in 81 new FTEs rather than the 278 the Company requested. Staff further recommended "a proportionate adjustment to the associated non-labor costs." Staff added that the Company should focus more on digital communications relative to field collections

activity and more on non-residential collections relative to residential collections.

Q. What was the basis for Staff's recommendation to reduce the number of new FTEs from 278 to 81?

A. Staff raised concerns with the management of the group, noting that field staffing had fallen over the last several years even though the Company had indicated to the EAP Working Group that it planned to maintain staffing levels. Staff further contended that "had the Company maintained its staffing levels, it could have more adequately managed customer arrears." Staff framed adding 81 FTEs to the current 79 FTEs as "right sizing" the program. Staff, however, offered no explanation or analysis for its contention that pre-pandemic staffing levels would be appropriate today, at a time when the number of customers in arrears and the total arrears level are significantly larger than before the pandemic.

Staff also offered its own cost-benefit analysis of the Company's different channels for outreach to customers in arrears. Based on its analysis, Staff opined that digital outreach, email, and text messaging were the most cost-effective collections methods. Drawing on that

conclusion, Staff recommended reducing the number of FTEs involved in field collections and that the Company consider "more cost-effective alternatives prior to resorting to field collections activity."

Q. Does the Company agree with Staff's recommendation to reduce the number of new FTEs from 278 to 81?

A. No. Customer arrears increased significantly as a result of the COVID-19 pandemic and recently reached record levels, exceeding $1.5 billion in November 2024. Various New York State efforts to provide support to utility customers, including two bill relief programs, reduced arrears only temporarily and did not stop or reverse this steady climb.

To address these unprecedented levels of arrears, the Company must engage customers at all stages in the collections process and through multiple channels. The requested field staffing is an essential component of this engagement. As of June 2025, there remain more than 33,000 active customers in arrears who have not paid their utility bills in more than 18 months. Letters and, where applicable, digital engagement have proven insufficient to prompt these customers to resume paying their bills.

Consequently, the Company proactively ramped up its staffing to increase its field customer engagement.

Q. Does the Company agree with Staff's assessment regarding the management of its collections FTEs and plans to "maintain its field collections staffing levels?"

A. No. The Company disagrees with the statement that it did not maintain staffing levels. The Company staffed consistent with its statement on page 24 of the EAP Working Group Arrears Report from May 2022 filed in Cases 14-M-0565 and 20-M-0266 that it would maintain "levels of field collections staff to support current needs." During the COVID-19 pandemic and implementation of the Company's Customer Care and Billing (CC&B) system, collections activities were markedly reduced, as detailed in the Company's response to DPS-31-749. The Company allowed natural attrition during these periods and engaged in proactive hiring after it resumed regular collections activities in April 2024 for commercial customers and June 2024 for residential customers.

Q. What would happen to the Company's arrears balance if the Company were to reduce its total field collection staffing to 160 FTEs?

A. Staff did not break down its proposed staffing level of 160 FTEs between field collectors and supervisory and other management employees. But assuming a pre-pandemic breakdown of 145 field collectors and 15 supervisors and managers consistent with DPS-11-347, the Company can confirm that reducing FTEs as Staff recommended will meaningfully reduce the amount of arrears collected each month by far more than the cost of hiring the additional field collectors that the Company requested.

As reported in DPS-19-479-Supp1, the Company had 189 customer field representatives (CFRs), 94 teams, dedicated to field collections activities in April 2025, which resulted in $28.5 million in total collections, for an impact per team of about $304,136. Had the Company only had Staff's recommendation of 145 CFRs, or 72 teams dedicated to collections, the Company would have collected approximately $6.7 million less through field engagement.

Similarly, in May 2025 the Company had 201 field collectors, or 100 teams, as reported in DPS-19-479-Supp2, who collected a total of $26.2 million, for an impact per team of about $262,000. With only 72 teams of collectors, as Staff recommended, the Company would have collected $7.3

million less. An initial January-May 2025 analysis of the arrears impact of the Company's proactive CFR hiring, as compared with Staff's proposed FTE cuts, is provided in Exhibit__(CO-18) January-May 2025 Arrears FTE Impact Analysis.

These results for these field collection teams in April and May 2025 exceed past historical collections impact. As discussed in the Company's response to DPS-15-407, past collections activities generated approximately $86,000 per month per collection team. Once collectors shift their focus from easier-to-reach accounts to those that are more difficult to resolve, the Company expects field collector performance to be closer to this historical baseline than the results achieved in April and May 2025. Even at this lower historical level, however, the collections lost under Staff's recommendation would be significant. Under Staff's proposal for 72 teams, field collectors would bring in approximately $74.3 million annually. But under the Company's proposal for 152 teams, field collectors would bring in approximately $156.9 million annually. Staff's recommendations would also enable customers to fall deeper into arrears, which hurts not only

the customers in arrears but impacts other customers through higher bills resulting from increased uncollectible expenses. The Company developed its request specifically to mitigate these impacts while keeping the program's costs reasonable for customers.

Additionally, the value of the additional FTEs requested by the Company would far exceed their cost. A team of two field collectors costs $108,000 per year, or $13,500 per month, far less than their historical collections performance of $86,000 per month per team. For this reason, the Company's proposal is fully justified from a cost-benefit perspective.

Q. Did Staff offer any other suggestions regarding the Company's field collections staffing?

A. Yes. At pages 15-16 of its testimony, Staff wrote, "Also, the Company has the flexibility to prioritize its resources and, therefore, if the Company's focus is to address arrears through increased collections activities, the Company should manage its staffing resources accordingly."

Q. Does the Company agree with this suggestion?

A. While Staff is correct that the Company has, and should have, flexibility to manage its resources, this is not grounds for reducing the Company's FTE request.

Q. Why not?

A. The Company is entitled to recover the cost of providing service, including the cost of collecting payment from customers for energy services. The suggestion that the Company should simply reallocate resources from other areas that are funded through rates is misguided, because it will result in a reduction in resources to serve customers in other ways. Staff also cites this flexibility as the solution to staffing needs in other programs when recommending denial of the Company's FTE requests for those programs; but if other groups within Customer Operations also need additional staffing, then they do not have resources to lend to arrears management or other priorities without negatively impacting customer service. Simply suggesting that the Company find resources in other parts of the Customer Operations organization or the Company is not a sustainable long-term solution to the Company's multiple staffing challenges, and in turn will have impacts

on customers through reduced customer service levels and increasing arrears.

Moreover, this suggestion is inconsistent with positions that Staff has taken elsewhere, which criticize the Company for underspending on programs relative to the amounts funded in rates. For instance, later in its testimony Staff proposes a downward-only reconciliation for the Company's customer outreach and education expenses. But if the Company reallocated resources from outreach and education to arrears management, it would be penalized through a downward-only reconciliation.

Q. What was the basis for Staff's recommendation that the Company focus more on digital outreach to customers in arrears relative to increased field collections?

A. Staff cited digital outreach, email, and text messaging as more cost-effective collections methods than field collections activity.

Q. Does the Company agree with Staff's recommendation that the Company focus more on digital outreach to customers in arrears relative to increased field collections?

A. No. The Company needs both digital and field arrears management efforts, not one or the other. Field visits are

necessary because many customers in arrears do not respond to digital outreach. Before any field visit, the Company already sends multiple letters by mail. The Company may also attempt to engage with customers through digital methods, where possible, and outbound phone calls. Even so, there will always be a large number of customers who do not respond to those contacts, in which case the Company has no alternative but to engage in field collections activities.

Moreover, as Staff acknowledges in its own analysis in Exhibit__(SCSP-2), the value of arrears collected from field collectors far exceeds the cost of those collectors. The fact that field collectors pay for themselves several times over while targeting the hardest-to-reach customers who did not respond to other forms of outreach only underscores how cost effective the Company's field collections program is.

Notably, Staff assumed 175 collections teams in its Exhibit__(SCSP-2), as outlined in the DPS Consumer Services Arrears Collection Type Workpaper. This assumption does not match the Company's staffing request in Exhibit__(CO-03-UPDATE) Arrears Management Program, which would result in 152 teams (before adjusting for absence/training/vacation),

nor its model in DPS-16-416, which assumes 104 teams (which is adjusted for absence/training/vacation). The point made above regarding the value of field collectors stands even if the Company were to hire far more collectors than it has requested in this rate case.

While digital engagement efforts have been effective in getting customers to make payments during the Company's initial ramp-up of collections activities, those engagement efforts are likely to become marginally less effective over time as the population of customers still in arrears shifts to harder cases, which in turn will require more field visits.

Q. What was the basis for Staff's recommendation that the Company focus more on non-residential collections activity relative to residential collections activity?

A. Citing the Company's Collection Activity Reports (CAR), Staff observed that the average arrears balance for a non-residential customer in arrears is about $9,000, while the average arrears balance for a residential customer in arrears is approximately $2,160. Thus, Staff recommended focusing collections on non-residential customers to provide larger returns on the Company's efforts.

Q. Does the Company agree with Staff's recommendation that the Company focus more on non-residential collections activity relative to residential collections activity?

A. No. While non-residential customers have higher average arrears balances, it is also true that there is a large number of residential accounts with high arrears balances. As of June 1, 2025, there were approximately 48,000 non-residential customers with about $470 million in arrears, compared to approximately 375,000 residential customers with about $845 million in arrears. So while the average non-residential arrears balance is higher, there are many more residential customers in arrears than non-residential customers, and the cumulative arrears balance for residential customers is much higher than the cumulative arrears balance for non-residential customers. And while Staff noted the average arrears balance for a non-residential customer in arrears is about $9,000, as of June 18, 2025, 14,720 residential accounts have an arrears balance *greater* than $9,000.

Just as the Company needs both digital and field collections strategies, the Company needs both residential and non-residential collections, not one or the other. For

many residential customers, field collections are the only effective way to get customers to agree to enter deferred payment agreements (DPAs). The longer the Company waits to reach those customers, the higher their account balances will grow, and the harder it will be for those customers to comply with DPAs and avoid turn-off.

Q. Did Staff make any other recommendations with respect to the Company's proposal for increased O&M costs for arrears management?

A. Yes. Staff recommended a reduction in the Company's incremental non-labor O&M spending proportional to Staff's recommended reduction in FTEs.

Q. What was the basis for Staff's recommendation to reduce the Company's incremental non-labor O&M spending in proportion to Staff's recommended reduction in FTEs?

A. Staff did not provide a rationale for this recommendation.

Q. Does the Company agree with this recommendation?

A. No. While the Company acknowledges any FTE reduction will also reduce its non-labor supply and equipment costs, the Company's O&M request includes funding for the Company's digital outreach, which is not proportionally impacted by FTE reductions. Costs for digital engagement are variable

across the rate period, comprising between 27 percent to 48 percent of the non-labor request, as outlined in Exhibit__(CO-03-UPDATE) Arrears_Attachment 1_Arrears Management Program Request Details. A blanket incremental reduction in non-labor funding across RY1-3 will inhibit the Company's ability to conduct cost-effective digital outreach, which Staff has recommended that the Company prioritize, and will reduce the Company's ability to reach customers who might respond to these messages by making a payment or enrolling in a DPA without the need for a field visit.

Q. Did any other parties comment on the Company's proposal to hire additional field collections FTEs?

A. Yes. The New York Department of State Utility Intervention Unit (UIU), State Senator Robert Jackson, and the New York Energy Consumers Council (NYECC) all opposed the hiring of some or all of the additional field collections FTEs that the Company requested.

Q. What specific recommendations did UIU make with respect to the Company's request?

A. UIU, through witness Pooja Oberoi, did not object to the Company receiving funding through rates for the 218 FTEs

that the Company had hired as of April 2, 2025. Instead, it recommended that the Commission reject only the Company's request for the remaining 29 CFRs, 16 customer service representatives (CSRs), and 15 management employees that the Company planned to hire in 2025, which it said would reduce the Company's incremental O&M request by $5.2 million.

Q. What reasons did UIU give for its recommendation?

A. UIU wrote that because the Company has demonstrated better-than-expected performance in reducing arrears, current staffing levels are sufficient. It added that the Company could use digital outreach tools to further improve arrears collection without incurring additional labor costs.

Q. Does the Company agree with UIU's recommendations?

A. No. As discussed above, reducing the Company's FTE request would reduce the amount that the Company can collect through field collections by far more than the cost of the incremental FTEs. Further, UIU's request to reduce the Company's request by 15 management positions does not take into account the broader needs to manage and supervise an expanded collections workforce and would therefore negatively impact the program's effectiveness. Ms. Oberoi

acknowledged in response to Con Edison's Second Set of Information Requests, questions 2, 3, and 6, included in Exhibit__(CO-17), that UIU had not conducted an analysis of its proposed reductions on arrears recovery, nor did it conduct any independent analysis upon which to base its statement that current staffing levels are sufficient to meet arrears collection goals.

Q. What comments did Senator Jackson make with respect to the Company's request?

A. Senator Jackson said that the Company's "overall funding request [for arrears management] was highly overestimated relative to actual needs."

Q. Did Senator Jackson provide any analysis in support of his opinion?

A. No, although Senator Jackson cited the effectiveness of the Company's Q1 2024 digital outreach efforts, as discussed in Exhibit__(CO-03-UPDATE) Arrears Management Program.

Q. Does the Company agree with this concern?

A. No. Senator Jackson's position is not supported by the actual data underlying the Company's collections performance in 2025. As shown in recent CAR filings, customer arrears have begun to diverge from the forecast

curve and have flattened as of June 1, 2025. Without the required field staffing, more customers will fall further into arrears, which would lead to a larger uncollectible balance. Once field collections staff address easier-to-reach locations, they will tackle harder-to-reach locations and those lacking meters capable of remote disconnection, making collections more difficult. If the Company lacks sufficient staffing to field these accounts, arrears balances for these customers will continue to grow.

Q. Did Senator Jackson make any other comments regarding the Company's Arrears Management Program?

A. Yes. In discussing the Company's "dynamic approach to staffing" for arrears management, he wrote, "Non-union staff should not be automatically hired, in-house union labor if available should be used when appropriate."

Q. Does the Company agree with Senator Jackson's statement?

A. Yes. The Company does not have any plans to use non-union labor for the CFR and CSR positions that comprise more than 90 percent of the new positions that the Company requested for the Arrears Management Program. To the extent Senator Jackson opposes the Company's request for these FTEs, he would oppose the creation of hundreds of new, well-paying

union jobs for Senator Jackson's constituents and other residents of the New York City area.

Q. What specific comments did NYECC make regarding the Company's request for funding for arrears management?

A. NYECC argued that the fact that Con Edison has hired additional FTEs during the linking period to address arrears, without additional ratepayer funding, means that the Company does not need an increase in O&M funding in its next rate plan to sustain its collections efforts.

Q. Does the Company agree with NYECC's contention?

A. No. While the Company was able to temporarily allocate funding to support the FTEs needed to scale up collections activity, this temporary shifting of resources is not a permanent solution and is not a proper way to fund the Company's operational needs.

Q. Did New York City make any recommendations with respect to the Company's request for additional FTEs for the Arrears Management Program?

A. New York City did not specifically address this proposal. The New York City Policy Panel, however, challenged the Company's requests for additional employees in the aggregate. That panel made three main points against the

Company's hiring plans. First, it questioned whether the Company even could fill all of the requested positions given that some parts of the Company, outside of Customer Operations, have expressed having difficulty recruiting, hiring, and onboarding new hires. Second, it argued generally that "the Company has not presented a compelling justification for such an accelerated or large increase to its workforce." Finally, it argued that the requested increase in hiring "is not consistent with controlling costs and maintaining affordable electric and gas costs."

Q. Does the Company agree that these concerns apply to the FTEs it requested for the Arrears Management Program?

A. No.

Q. Why not?

A. First, Con Edison has not had difficulty recruiting, hiring, or onboarding new FTEs for the Arrears Management Program. Between August 1, 2024, and May 23, 2025, the Company hired 286 CFRs across nine classes, from more than 3,600 applications. The Company experienced attrition of only 17 CFRs through May 2025, approximately 6 percent of those hired. Employees received two weeks of classroom training and two months of on-the-job training. As those

employees have completed training, the Company has added them into the field collections workforce on a rolling basis, as reflected in the Company's supplemental responses to DPS-19-479.

Second, the Company has provided a compelling justification for these additional FTEs. Specifically, as shown in the Company's earlier testimony, the Covid-19 pandemic and State-mandated moratoriums on collection activity have fueled an unprecedented level of customer arrears. These arrears, in turn, have increased the costs to ratepayers through higher expenses for uncollectibles and higher Company borrowing costs.

Third, these positions are supported by cost-benefit analysis. The Company has shown above, and DPS Staff has confirmed, that CFRs pay for themselves several times over through increased collections. The Company requires CFRs to reach customers in arrears who do not respond to letters, digital communications, or telephone calls. Indeed, the fact that CFRs are so cost-effective while focused on the most difficult-to-reach customers only underscores the value of this program.

Fourth, the Company's hiring efforts have resulted in a sustained decrease in customer arrears for the first time in many years, a goal shared by multiple stakeholders. This demonstrates the value to customers of having sufficient staff to engage customers to address arrears.

B. Contact Center Staffing and Training Program

Q. What was the Staff Customer Service Panel's recommendation regarding the Company's Contact Center Staffing and Training Program?

A. Staff recommended reducing the Company's request for incremental FTEs from 236 to 69.

Q. What was the basis for Staff's recommendation to reduce the number of requested FTEs from 236 to 69?

A. Staff proposed this reduction to be proportionate to its proposed reduction in requested field collections FTEs for the Arrears Management Program, as discussed above.

Q. Does the Company agree with Staff's recommendation to reduce the number of requested FTEs from 236 to 69?

A. No. Staff misconstrues the Company's initial and update testimony on the relationship between the Company's FTE request for field collections personnel and its FTE request for contact center personnel. At page 21 of its testimony,

Staff sought to justify the proportionate reduction in contact center FTEs on the grounds that "this FTE request is tied to the FTE request for its Arrears Management Program." But as Con Edison wrote in its update testimony, cited at page 19 of Staff's testimony, those two figures are only tied "in part." In other words, the relationship between incremental FTEs for field collections and incremental FTEs for the contact center is not directly proportional, as Staff's recommendation presupposes.

Instead, as discussed at page 21 of the Company's initial testimony, the Company forecasts higher call volumes due to "the increase in collections activity efforts and the expansion of digital engagement of customers in arrears." While the field collections FTEs are one part of that effort, they are not the entirety of that effort. And as Staff has endorsed increased digital outreach to customers in arrears, the Company expects further increases in calls to the contact center even without funding for all of the requested field collections FTEs.

Indeed, the Company's proposal on update reflects that the two FTE requests are not directly proportional. While

the Company reduced its request for field collections FTEs by about 30 percent (from 337 to 237), the Company reduced its request for contact center FTEs focused on inbound communications by only 20 percent (from 200 to 160, of which 115 would take inbound calls and the rest would focus on email, chat, and peer support). Meanwhile, the Company's request for contact center FTEs to engage in outbound calling — which was included in Staff's recommended across-the-board cut — is not correlated with field collections FTEs; to the contrary, they represent separate channels of collections activity.

Q. How else is the Company's proposal for Contact Center Staffing and Training distinct from that of the Arrears Management Program?

A. The Contact Center Staffing and Training proposal includes incremental management FTEs for training, to address the growing complexity of calls, outbound calling, and additional staff oversight. As more simple calls are handled through effective self-service offerings, the more complex and longer calls that cannot be resolved through self-service make up a larger share of the work of the Company's contact centers. Additionally, the Company has

already demonstrated in Exhibit__(CO-19) Performance Incentive Report (PIR) Report Data that while the Company has experienced a 10 percent total increase in calls over the first five months of 2025 compared to the same period a year earlier, total incoming calls requesting a representative have risen even faster, by 14 percent. These year-to-date trends align with the staffing forecast provided in Exhibit__(CO-04-UPDATE) Contact Center Staffing and Training Program, which forecast a 15 percent increase in call volume to 2024 actuals to project the Company's incremental FTE needs. The increase in call volume to date thus supports the Company's decision to increase staffing proactively. The Company expects call volumes to remain high and grow further as it continues to implement arrears mitigation strategies.

These call volumes, however, are not based solely on field collections activity. The Company also needs incremental CSRs to address calls resulting from expanded digital communications to customers in arrears, as Staff suggested, and increased outbound calling initiatives.

Q. Has the Company's increase in collections efforts in 2025 resulted in an increase in calls to the contact center?

A. Yes. As referenced above and shown in Exhibit__(CO-19) PIR Report Data, total calls to the Company's contact center increased by 10 percent over the first five months of the year, relative to 2024, and calls requesting a representative increased by 14 percent. These increases are in part attributable to increased collections activities, including digital engagement with customers in arrears. For example, in May 2025 the Company sent 355,551 emails to customers in arrears and received approximately 54 calls from recipients requesting a representative for every 1,000 emails. The Company provides further detail on these call volume trends in Exhibit__(CO-20) Calls Per Delivered Arrears Email.

The Company has been able to maintain a high level of customer service amid these surging call volumes because of its proactive hiring of CSRs. For example, the volume of calls in May 2025 was similar to that in May 2024, but the percentage of calls answered within 30 seconds was more than twice as high – 73 percent in May 2025 compared to 31 percent in May 2024. This data demonstrates the need for contact center staffing commensurate with the Company's overall level of collections activity, including digital

outreach and outbound calling, not just the number of field collections FTEs.

Q. How would the customer experience suffer if the Company were to implement Staff's FTE recommendations?

A. Staff's recommendation to reduce the Company's request from 236 to 69 FTEs would not provide adequate staffing to meet customer needs and to maintain required service levels. Staff's recommendation would result in incremental hiring of only 60 CSRs and nine management staff for oversight and training, compared with the 210 CSRs and 26 management staff requested in the Company's proposal. As previously outlined in the Workpaper__(CO-04-UPDATE) Contact Center Staffing, the Company's proposed staffing is split across several areas of need. For CSRs, this includes call center inbound support (115), addressing customer emails (20), providing customers with the option to use chat for questions (10), onboarding peer support (15), and outbound collections calling (50).

Staff's recommended cuts, no matter how they are allocated across workstreams, will negatively impact customer service, the Company's ability to address arrears, and its capacity to train and upskill customer service

employees. Adding only 60 incremental CSRs would result in a decline of between 9.7 and 5.6 percent in projected service levels from the Company's request for 115 inbound contact center CSRs, depending on how many were allocated to inbound calling. Even if all of the incremental CSRs were assigned to handling inbound calls, with none assigned to those other workstreams, the Company's performance would still fall below the Company's current Commission-mandated performance target. Further, reductions in the 50 outbound CSRs originally allocated to support collections activities would result in a monthly reduction of up to $9.5 million in collections. Regardless of how the Company allocates the reduction in incremental FTEs across these operational areas, Staff's recommendation provides insufficient staffing. This is illustrated in Exhibit__(CO-21) Contact Center FTE Reduction Impacts, which shows that the Company would be unable to meet expected service levels and would see reduced collections activity when allocating Staff's proposed 69 FTEs in a variety of scenarios.

Q. Did any other parties comment on the Company's proposal to increase contact center staffing?

A. Yes. Senator Jackson commented that the proposal had three "shortcomings." First, he argued that "[t]here is insufficient evidence linking the proposed staffing increases to tangible improvements in service quality, such as reduced wait times or higher first-call resolution rates." Second, he wrote that digital outreach channels may reduce the need for live agent staffing. And third, he argued that "[a] phased approach that ties new hires to measurable performance targets would be more appropriate than a large immediate expansion."

Q. Does the Company agree with Senator Jackson's comments?

A. No. First, regarding service quality, the Company is already using measurable performance targets to assess the effectiveness of staffing levels, such as the Commission-approved call answer rate metric, average handle time, and calls per hour. These are detailed in the Workpaper__(CO-04-UPDATE) Contact Center Staffing. The Company undertook proactive hiring in this program to provide adequate staffing to meet these existing service quality metrics.

Second, the Company agrees that digital channels are valuable, but it has already factored in a 3 percent call volume reduction from digital enhancements, relative to

higher forecasted call volumes, as part of its staffing request.

Third, a phased approach would be insufficient to meet current service demands. The Company's proactive plan to hire 160 FTEs ahead of the rate period has proven to be correct given the recent increases in call volume. The Company entered 2025 with 106 incremental FTEs already hired and reached approximately 130 active new hires by the end of May. Exhibit__(CO-19) PIR Report Data demonstrates that the Company adequately maintained service levels despite a 14 percent increase in calls requesting a representative during the first five months of 2025. Phasing these resources would only have delayed reaching the staffing needed to meet adequate service levels, which would negatively impact customers.

Q. Referring to the earlier discussion of the New York City Policy Panel's concerns regarding the Company's ability to hire all planned FTEs, has the Company experienced any difficulty hiring new CSRs during the linking period?

A. No. Please see the proactive hiring completed in Exhibit__(CO-22) Customer Assistance Posting and Hiring Data since the Company began increasing CSR staffing in

September 2024. Additional CSR classes are planned for 2025 to mitigate attrition and maintain staffing levels to provide adequate service to customers.

The Company has received a robust and active pool of applicants for these positions. Between August 2024 and April 2025, the Company posted five CSR job openings (including two bilingual roles) and received a total of 4,270 applications for 299 planned positions, underscoring strong applicant interest and a healthy hiring pipeline. The Company has also demonstrated its ability to efficiently process applications, onboard, and train new hires by successfully hiring and onboarding targeted candidates on schedule in 2025.

C. Meter and Billing Resources

Q. What was the Staff Customer Service Panel's recommendation regarding the Company's request for additional Meter and Billing Resources?

A. Overall, Staff recommended reducing the number of new FTEs to review and address inquiries related to customer meter and billing exceptions from 129 to 11. Specifically, Staff recommended:

- Denying all 78 requested FTEs for customer billing and correspondence support;
- Denying all 11 requested FTEs for Retail Choice account support;
- Denying all 29 requested FTEs for the Meter No Access and Replevin Program;
- Approving the five requested FTEs for the Company's Meter to Bill Quality Assurance team; and
- Approving the six requested FTEs for employee enrichment and training.

Q. What was the basis for Staff's recommendation to deny all 78 requested FTEs for customer billing and correspondence support?

A. Staff argued that the Company did not perform a cost-benefit analysis to justify its request for 78 FTEs. Staff also noted that the introduction of AMI and the launch of CC&B have dramatically increased the timeliness and accuracy of the Company's bills and contended that these investments have obviated the need for additional FTEs. In addition, Staff argued that last year's amendments to the Public Service Law requiring utilities to bill residential

and small commercial customers for service within three months of their service periods did not justify additional headcount, as the Company should already be issuing timely bills.

Q. Does the Company agree with Staff's recommendation?

A. No. The Company provided the inputs used to develop and justify its resource request in its responses to DPS-16-410, Question 5, and DPS-16-410 Attachment 1 CCG FTE Analysis and Attachment 3 Accounting CSR FTE Analysis. These analyses included detailed breakdowns of the types of work units assigned to and completed by each team, with a comparison of generation and completion rates. The results illustrate how many FTEs the Company needs to address work as it is generated, and in turn deliver more timely service to customers.

Despite the challenges that are evident in the data, the Company has made significant strides in the timeliness and accuracy of customer bills and has continued to meet estimated and delayed billing metric targets without any recent FTE requests. As highlighted in this Panel's initial testimony, AMI and CC&B have led to increased accuracy and data transparency and have enabled more innovative rates

(i.e., solar net metering, time-of-use). But billing errors do still occur and, once identified, require investigations that often require CSRs to review multiple systems before processing a rebill, as outlined in the Company's response to DPS-47-987 Attachment 1 CC&B Rebill Process. In addition, the enrollment/de-enrollment processes for new rates are more involved than a standard start service action, as they often require special system configurations and may require physical meter reprogramming.

Finally, since the Legislature determined that utilities must issue most bills within a three-month period, the Company should be allowed to recover the cost of providing service at that newly required level.

Q. How is the customer experience impacted if the requested 78 FTEs are not funded?

A. The requested 78 FTEs are divided into 45 CSRs, 25 Senior CSRs (SCSRs), and eight management staff.

Without the requested 45 CSRs, wait times to resolve billing inquiries for residential and small commercial customers will likely increase. And without the additional 25 SCSRs for the Corporate Customer Group (CCG), wait times will also likely increase for larger, more complicated

commercial accounts. In addition, the eight management staff requested are necessary to oversee the expanded workforces of CSRs and SCSRs.

Q. What was the basis for Staff's recommendation to deny all 11 requested FTEs for Retail Choice account support?

A. Similar to the statements above, Staff argued that the new billing legislation did not justify additional FTEs and pointed to the success of AMI and CC&B in providing timely, accurate bills for all customers, including those who purchase supply from energy services companies (ESCOs). Staff also contended that the Company's plans to modernize its Retail Access System, which are discussed in the testimony of the Company's Information Technology Panel, will increase workflows and remove the need for additional support.

Q. Does the Company agree with Staff's recommendation?

A. No. The requested 11 FTEs, supported by the Company's response to DPS-16-410, Question 5, and Attachment 2 Retail Choice FTE Analysis, are essential to support the growing volume and complexity of inquiries from ESCOs. These FTEs will be dedicated to resolving discrepancies between CC&B system and the Retail Access systems. In addition to

resolving account discrepancies, these resources serve as the primary point of contact for all ESCOs, handling inquiries related to billing histories, adjustments, regulatory impacts, EDI transactions, and reconciliation support. While billing accuracy and timeliness has improved, this does not eliminate the need for manual intervention altogether. Manual touchpoints lead to potential desynchronization between the billing system and the Retail Access systems, which in turn causes discrepancies on customer accounts that need to be manually resolved by these FTEs.

In addition, the Company does not plan to "replace" its Retail Access system, as stated on pages 26-27 of Staff's testimony, but rather modernize its legacy systems to improve data quality and exception handling, streamline transaction management to address discrepancies and improve integrations between Retail Access systems, and enhance the web user experience with advanced self-service capabilities and reporting functions. While the Retail Access Modernization project is designed to enhance the ESCO experience and improve data accessibility, it does not eliminate the need for ongoing manual intervention. Daily

activities such as responding to email inquiries, processing account adjustments, and resolving billing issues (e.g., cancel/rebill scenarios) will continue to require human oversight.

To address the current volume of requests, the Company has allocated additional resources to prioritize these inquiries on a temporary basis; however, the existing staffing model is unsustainable. Without these requested FTEs, ESCOs may continue to experience longer-than-expected response times, delayed billing resolutions, and increased frustration for both ESCOs and their customers. The requested staffing levels are essential to sustain current response times and improve service quality.

Q. What was the basis for Staff's recommendation to deny all 29 requested FTEs for the Meter No Access and Replevin Program?

A. Staff referred to the Company's response to DPS-410, which indicates that the number of meters with no-access issues has decreased since the Company's initial testimony. Staff also questioned the ability of increased FTEs to have an impact on the number of outstanding no-access meter issues because access is directly controlled by the customer.

Q. Does the Company agree with Staff's recommendation?

A. No. While the number of no-access meter issues has decreased slightly from approximately 67,000 to under 63,000, the Company must continue replacing the legacy electric and gas meters and non-communicating AMI meters. Currently, the Company cannot replace a non-communicating AMI meter if a customer is unresponsible to Company communications and in-person field visits. The Replevin program is specifically targeted to gaining access to customer premises when customers have not responded to prior no-access attempts, thus requiring the Company to involve the courts to reclaim the meter (and replace it with a communicating meter, if applicable).

Without these requested resources, the Company will not have the FTEs required to replace AMI meters using the replevin process or adequate staffing to meet customers outside of normal business hours. This, in turn, will prolong the incidence of estimated or delayed billing for these customers and result in increased no-access fees. Additional impacts to all customers of delayed denial of access include delayed identification of theft of service (and associated safety concerns on site), resolution of

meter-related billing exceptions, and other potential safety issues.

Q. Did any other parties comment on the Company's request for increased meter and billing resources?

A. Yes, both NYECC and Senator Jackson opposed the Company's request for more FTEs for meter and billing resources.

Q. What was the basis for NYECC's opposition to the Company's request?

A. NYECC argued that because the Company invested in AMI meters, which should reduce manual billing activities, the Company should not need additional FTEs to address meter and billing issues. NYECC also cited the fact that the Company had not requested increased resources over the previous seven years, as it implemented AMI and CC&B, as a reason to deny the Company's request in this rate case.

Q. Does the Company agree with NYECC's position?

A. No. The Company's AMI program has been a success, as it was implemented under budget, enabled the Company to reduce its meter reader headcount by 86 percent, and helped reduce the percentage of estimated bills from 12 percent in December 2018 to less than 1.5 percent so far this year. And as NYECC correctly observed, the Company has exceeded the

performance targets for the estimated and delayed billing metric created in the Company's last rate case.

But while AMI has enabled more timely and accurate meter reading, it has not eliminated all billing errors or anomalies requiring manual review; nor did the Company ever indicate that AMI would eliminate all such errors or anomalies. Instead, as discussed above, the resources requested here are needed to remedy those issues that do occur in the steady state environment following AMI implementation.

Moreover, NYECC's position regarding the Company's decision not to seek these increased resources in prior rate cases is counterintuitive. As the Company explained in its response to NYC-13-270, which NYECC cited in its comments, the Company did not request these incremental resources while it implemented AMI and CC&B because it could not forecast its future steady-state staffing needs. Now that those programs have been fully implemented, the Company can forecast its staffing needs and seeks to right-size its staffing to address the aforementioned meter and billing needs. NYECC's position would penalize the Company and degrade service to the customers it represents simply

because the Company chose not to prematurely increase staffing.

Q. What was the basis for Senator Jackson's opposition to the Company's request?

A. Senator Jackson argued that the Company's FTE request was excessive because the Company has already succeeded at substantially reducing the percentage of estimated bills received by customers. For this reason, he wrote that the marginal benefits of further hiring would be minimal and that the Company could realize continued improvements through additional automation or process enhancements. Senator Jackson did acknowledge, however, that the Company should "increase staffing levels in meter and billing resources," which appears to contradict his opposition to these incremental FTEs.

Senator Jackson further argued that recent legislation limiting the time in which utilities have to render bills to customers did not justify "overburdening ratepayers." He also wrote that Con Edison should not increase O&M spending, in favor of using "proven technologies used by [the Company's] peers."

Q. Does the Company agree with Senator Jackson's positions?

A. No. The Company appreciates Senator Jackson's acknowledgment of the Company's success in reducing the rate of estimated billing. But in an environment as complex as the Company's service territory, there will always be some rate of billing errors and anomalies that require manual intervention. As shown in the testimony of several parties to this rate case, including New York City and the New York Power Authority (NYPA), there is a strong desire on the part of many of the Company's customers to see the Company resolve billing errors and anomalies more quickly, which would require additional resources.

Senator Jackson's position that the Company can continue these improvements solely through increased automation and process enhancements is not correct. Automation and process enhancements have generated improvements, but remaining billing errors require manual intervention to identify the problem across multiple systems and remedy the solution.

Senator Jackson's position that the billing legislation passed by the Legislature and signed by the Governor simply requires utilities to do more with no additional resources is not substantiated. As stated above,

the Company is allowed to recover the cost of providing service at the level ordered by the Legislature or the Commission.

Finally, Senator Jackson's position that the Company should not increase O&M spending but instead use "proven technologies" used by the Company's "peers" is not well founded. In response to the Company's information request, Senator Jackson identified technologies that the Company has already implemented, including AMI and CC&B. See Office of the State Senator Jackson's Response to Con Edison's First Set of Information Requests, Question 1. Those technologies, however, were not intended to nor capable of resolving all metering and billing issues on their own. (See Exhibit__(CO-17), Response to Con Edison's IR to the Office of the State Senator Jackson, Question 1.)

D. New York Power Authority Account Management

Q. What was the Staff Customer Service Panel's recommendation regarding the Company's proposal to create a separate group within Customer Operations to support NYPA and its customers?

A. Staff recommended denying the 15 FTEs requested by the Company.

Q. What was the basis for Staff's recommendation to deny this request?

A. Staff argued that the Company could not adequately justify the program, without tracking the number or resolution time of inquiries from NYPA and its customers. Staff also argued that NYPA inquiries have been part of the Company's operations for decades without a demonstrated increase in its workload and recommended the Company shift existing resources if necessary.

Q. Does the Company agree with Staff's recommendation?

A. No. The Company provided supporting evidence for its FTE request in response to DPS-19-517, which was based on the results of a pilot conducted between January 2023 and June 2024 with a dedicated team of five SCSRs addressing billing, metering, and service issues for NYPA's 11,000 accounts. Through that pilot, the Company collected data on the volume of work handled by the temporary team and the volume of work that the team was not adequately staffed to address as it arose. Based on these results, the Company determined that it needed five SCSRs more than the five SCSRs involved in the pilot to complete NYPA-related work in a timely manner, for a total of 10 SCSRs. A team of 10

SCSRs would be consistent with the Company's desired ratio of 1,000 to 1,500 customer accounts per SCSR, as detailed in Exhibit CO-06, which Staff did not contest.

In addition to this dedicated group of SCSRs, management FTEs are necessary to supervise the team of SCSRs, manage intake, address more complex inquiries, develop and facilitate processes to track inquiries, resolve meter-to-bill issues, and streamline routine tasks to improve response time and quality. The Company also seeks to have a dedicated Energy Services Customer Project Manager on this team to support NYPA's and its customers' clean energy and energy efficiency program needs and to coordinate meter exchanges and new business work, thereby providing NYPA with centralized support for a larger share of its needs.

NYPA, a state power organization not categorized as an ESCO, is the Company's largest customer. NYPA and its customers are leaders in clean energy investments and energy efficiency programs, both of which result in more complex billing and operational needs. The Company is committed to addressing these increasing demands. Having a dedicated group to manage these accounts, separate from the

larger Corporate Customer Group, is crucial to serving NYPA and its customers more efficiently and effectively.

Q. What was NYPA's reaction to the Company's proposal to create a group dedicated to addressing the specific issues of NYPA and its customers?

A. NYPA, through its witness Eric Bowers, wrote that it is "highly supportive" of the Company's efforts and recommended that the Commission adopt the Company's proposal, with modifications. NYPA wrote that having a dedicated account management team led by a manager focused on NYPA's concerns would enable improvements in billing, interconnection of distributed energy resources, and electrification.

Q. What modifications did NYPA recommend to the Company's proposal?

A. NYPA recommended that the Commission ensure that the Company's proposed team achieve its objectives by proactively addressing issues with estimated or delayed bills and considering establishing benchmarks to show improvement in these areas.

Q. Does the Company agree with those recommendations?

A. No. The Company has significantly reduced the incidence of estimated and delayed billing, as shown in the Company's quarterly reports on estimated and delayed billing required under Section M.5 of the Joint Proposal approved in Cases 22-E-0064 and 22-G-0065. Among other data, the Company currently provides data specific to NYPA accounts in these reports. NYPA accounts are also a key part of Metric 2 of the Long-Term Estimated and Delayed Billing Metric established under the 2023 Rate Order, which gives the Company sufficient incentive to continue to improve the billing of NYPA accounts.

Q. Did any other parties make recommendations with respect to the Company's proposal?

A. Yes. UIU, through its witness Ms. Oberoi, recommended that the Commission reject the Company's proposal.

Q. What reasons did UIU give for recommending that the Commission reject the Company's proposal?

A. UIU recommended that the Commission reject the creation of a separate account management team for NYPA because the Company does not currently track the number of inquiries received from NYPA or its customers, the number of instances in which the Corporate Customer Group was unable

to resolve such inquiries, or the average time taken to resolve those inquiries. UIU further opined that the Company is adequately staffed to address all of NYPA's requests and should allocate existing staff instead of adding incremental FTEs. Finally, UIU said that the Company had not conducted any cost-benefit analysis for its proposal.

Q. Does the Company agree with UIU's position?

A. No. NYPA-related work is currently distributed among SCSRs in CCG, which is already understaffed. UIU's testimony also disregarded the Company's testimony on NYPA's unique billing and service challenges and the efficiencies that would result from having a specialized team of SCSRs to handle NYPA inquiries. Finally, UIU ignored the results of the pilot discussed in the Company's response to DPS-19-517, which obtained data on the number of inquiries received from NYPA and how many could be completed by a pilot team of five SCSRs.

E. PSC Complaints and Rate Consultant Inquiry Handling

Q. What was the Staff Customer Services Panel's recommendation regarding the Company's proposal to increase staffing to respond to PSC complaints and rate consultant inquiries?

A. Staff recommended denying the 21 FTEs that the Company requested for this group.

Q. What was the basis for Staff's recommendation to deny this request?

A. Staff recommended denying the 21 FTEs on the grounds that the Company does not track the average time to resolve these complaints or billing adjustments, and the number of these complaints decreased from 2023 to 2024. Staff also argued that the work is part of ongoing operations, effectively managed by current resources, and the Company can shift staffing as needed.

Q. Does the Company agree with Staff's recommendation?

A. No. On page 33 of Staff's testimony, Staff incorrectly argued that the data provided by the Company in response to DPS-19-468 shows a decrease in rate consultant inquiries from 2023 to 2024. In the referenced interrogatory response, the Company reported an increase in rate consultant inquiries from 4,911 in 2023 to 6,008 in 2024. Staff also cites a decrease in QRS and SRS complaints escalated by rate consultants. This decrease was a result of a temporary shift in resources to address the initial inquiries submitted by rate consultants before they reached

the PSC level. Permanent dedicated FTEs are needed to manage the increasing volume of rate consultant inquiries, prevent escalations, and maintain response quality. The high volume and complexity of these inquiries have led to increased workloads, with current staffing levels insufficient to manage them effectively.

The Company also temporarily shifted resources in September 2024 to reduce PSC complaint backlogs and address incoming PSC complaints. The addition of FTEs resulted in a 19 percent decrease in QRS response time and a 49 percent decrease in SRS escalations from the time the FTEs were added through the end of 2024, as shown in the Company's response to DPS-19-468. This demonstrates the effectiveness of having sufficient dedicated resources to manage these inquiries. Since January 2025, QRS complaints have continued to increase, as shown in Exhibit__(CO-23) QRS Complaints by Month and YOY. As of May 2025, the Company received 3,060 QRS complaints, a 44 percent increase compared to the number of QRS complaints received during the same period in 2024 due primarily to high bills and the Company's resumption of collections.

While the Company can temporarily shift resources to address rate consultant inquiries and PSC complaints, this approach is not sustainable long-term as the volume of inquiries continues to grow. Continually reallocating resources to address immediate needs can compromise other critical efforts, as described in the Arrears Management Program section of this testimony. As of June 17, 2025, the Company has 137 QRS and 35 SRS cases, aged 0-14 days, pending. The Past Due Cases Report sent to the Company on June 16, 2025 by the Office of Consumer Services indicates that there are 215 QRS and 170 SRS cases aged 15 days or greater, which do not include those escalated by rate consultants. Staff's recommendation will result in more aged cases, further growing this backlog. The requested FTEs will enable the Company to respond to inquiries more promptly, avoid PSC escalations, and maintain compliance with performance targets.

Q. Did Staff have any other recommendations regarding PSC complaints and rate consultant inquiries?

A. Yes. Staff also recommended that the Company conduct a root cause analysis on its 10 most prevalent types of complaints to help the Company determine if there are other

fundamental causes for customer complaints that, if addressed, would prevent further customer complaints.

Q. What is the Company's response to this recommendation?

A. The Company agrees with Staff on the benefits of root cause analysis. To that end, the Company has developed a series of tools to inform its complaint-handling processes and improve customer service, including to assess root causes of complaints. The Company's FTE request will also enable it to assess root causes for rate consultant inquiries, which, as stated in the Company's response to DPS-13-384, Question 4, the Company is unable to do at its present level of staffing.

Q. What other tools has the Company developed to inform its complaint-handling process?

A. Additional tools developed include:

- A dashboard summarizing QRS cases received, closed, and escalated to SRS status, offering insights into the number of new and aged cases, categorizing complaints by type, and identifying trends and areas requiring attention.
- A Case Log Report presenting a detailed view of cases after they are created, which assists in tracking

interactions and driving timely follow-ups. By offering insights into the chronological developments of each case, this report enhances the team's ability to maintain accurate records and improve customer service responsiveness.

These tools collectively enable the Company to understand and address complaints more effectively, which should lead to improved service quality and customer satisfaction. Additional improvement initiatives are outlined in the Company's response to DPS-13-384, Question 7.

F. Customer Outreach and Education

Q. What was the Staff Consumer Services Panel's recommendation regarding the Company's plan to enhance its customer outreach and education efforts through increased community outreach, expanded access to materials in languages other than English and Spanish, and additional tools to help connect customers with information to help them with their energy bills?

A. Staff recommended denying the Company's request for increased O&M spending, except for $80,000 to support the Work Notice Information System (WINS). Specifically, Staff recommended denying:

- One additional FTE focused on building community relationships and expanding regional outreach events;
- Expansion of the Company's language access program;
- Implementation of the Opower Affordability Suite (OAS) to drive affordability program enrollment;
- Expansion of additional personalized email, direct mail, and mobile short-term video engagement campaigns; and
- Development and delivery of smart meter-related communications, including weekly AMI reports for residential customers, monthly AMI reports for commercial customers, and high bill alerts, all of which the Company already provides but which is no longer funded through the AMI project budget and therefore requires incremental outreach funding to sustain.

Q. What was the basis for Staff's recommendation to deny nearly all of the Company's O&M request?

A. Staff's rationale was the purported "lack of transparency in the Company's outreach budget process and information provided in these proceedings" and "the Panel's inability to reconcile program expenditures[] and adequately assess funding needs."

Q. Does the Company agree with Staff's concerns regarding the accuracy and transparency of the Company's budget reporting for Customer Outreach and Education?

A. No. Staff identified four issues in reviewing the Customer Outreach and Education budget, all of which mischaracterize the Company's filing and responses to information requests.

Q. What was the first issue with budget reconciliation identified by Staff in its review?

A. Staff noted that the historical spending in the 2025 Outreach and Education Plan could not be reconciled with the historical spend reported in the Company's Exhibit__(CO-08) and its response to DPS-13-379.

Q. What is the Company's response to Staff's contention?

A. The Company disagrees with this assessment. In particular, Staff has misconstrued the Company's interrogatory responses cited in Staff's testimony.

DPS-13-379 requested the budget to be broken down in the same format as DPS-1-60, which used the outreach and education budgets filed in the 2022 to 2024 Outreach and Education plans. The Company aligned its response to DPS-13-379 to the format requested in DPS-1-60, as requested. As referenced in DPS-50-1026, there is known variance

between the historical spending reported in the annual Outreach and Education plans and the Company's rate filing. The variance is due to the exclusion of labor and shared services costs in the reported actuals in the annual Outreach and Education plans, as that reporting uses a DPS-provided budget template that separates spending for gas and electric and does not reflect the way the Company internally tracks its Outreach and Education budget. Thus, any difficulties in reconciliation between DPS-13-379 and the Company's Exhibit__(CO-08) are due to acknowledged variances between (1) how funds are calculated for the rate filing and historic test year of the Outreach and Education function within Customer Operations and (2) the budget template through which annual plan filings have historically aligned – not a lack of transparency on the part of the Company.

Q. What was the second budget reconciliation issue identified by Staff in its review, and what is the Company's response?

A. Second, Staff claimed that "the breakdown of costs provided in response to DPS-13-379 do not align with the costs broken down by category in the Company's 2022, 2023, and 2024 O&E Plans." As referenced above, the Company

acknowledges differences in budget reporting across filings, which it outlined in response to DPS-50-1026. Since the origination of the Outreach and Education Plan, the Company has used a different template to feed into the DPS report compared with the budget format used for tracking internally, which is consistent with what was filed in Exhibit__(CO-08). As noted above, the variance occurs because the Company does not track its budget split between gas and electric, so some areas of misalignment are inherent when required to adapt internal tracking to a different template.

The Company acknowledges that it received a modified budget template for its annual Outreach and Education Plan from DPS on March 6, 2025. Given this template was received less than a month before the Outreach and Education Plan was due for filing, the Company continued to use historical templates for the purposes of the April 2025 report filing. The Company, however, will use this modified template in future annual reporting.

Q. What was the third budget reconciliation issue identified by Staff in its review, and what is the Company's response?

A. Third, Staff claimed that "the Company's O&M request of $5.608 million for 2025 reflected on page 6 of Exhibit___(CO-08) does not align with the budget amount of $4.276 million reflected in its 2025 O&E Plan." This apparent discrepancy is a result of the differences discussed above between the budget format required for the Outreach and Education Plan budget and the budgeting process for rate cases.

Q. What was the fourth budget reconciliation issue identified by Staff in its review and what is the Company's response?

A. Finally, Staff took issue with the Company's interrogatory responses regarding the $1.322 million incremental RY1 request, claiming the Company did not provide a breakdown of that request. The Company disagrees with Staff's reading of its responses and believes that it provided the requested funding details in a transparent manner consistent with the Company's original request in Exhibit__(CO-08).

In PULP-3-20, the Company was asked to provide the "total increase related to proposed customer outreach for [each] activity area" mentioned in this Panel's initial testimony. In response, the Company cross-referenced how it

summarized activities in its direct testimony with the total request provided in Exhibit__(CO-08). When Staff requested the incremental budget details for RY1 in DPS-50-1024 (Attachment 1), the Company provided this detail in alignment with its budget template, consistent with the original filing. The Company also provided incremental details for the RY2-3 request in response to DPS-50-1026 (Attachment 1).

Q. Did Staff provide any additional reasons for recommending that the Commission deny the Company's request for one new FTE to expand the Company's community outreach efforts?

A. No.

Q. What would be the consequence for the Company's community outreach efforts if the Company is not able to add this position?

A. As outlined in DPS-13-379, Attachment 1, the Outreach and Education team has nine FTEs responsible for serving more than 3.7 million customers across the five boroughs of New York City and Westchester County. In 2024, the team achieved an unprecedented level of customer engagement, participating in more than 240 events. Without the

additional FTE requested here, the Company will not be able to participate in as many events as it otherwise would.

In addition, the Company needs additional coverage to provide greater outreach in disadvantaged communities (DACs), in communities with customers who speak languages other than English, and at schools – gaps which the one FTE requested in this proceeding would be charged with addressing.

Q. Did Staff provide any additional reasons for recommending that the Commission deny the Company's request for incremental O&M funding to expand the Company's language access initiative?

A. Yes.

Q. What reasons did Staff provide?

A. Staff noted that the "2023 Rate Order requires the expansion of the Company's language offerings to include Polish and Bengali and based on the information provided, [and] it is unclear if Polish and Bengali are currently included in Con Edison's language translations offerings or if the Company is proposing to include these language translation offerings in these proceedings." Staff added

that the Company did not provide the cost associated with expanded language offerings.

Q. Does the Company agree with Staff's concerns?

A. No. First, page 100 of the 2023 Rate Order states that language translations should be expanded into Polish and Bengali, among other languages spoken in the Company's service territory, "where feasible within the Outreach and Education budget." In accordance with this order, the Company has continued to translate more materials into more languages. For example, the Company has translated EAP applications into Polish and Bengali and made them available on its website.

The Company is seeking additional funding here to expand its language access initiative by both (1) translating more materials than before into languages like Polish and Bengali and (2) expanding the program to cover additional languages not mentioned in the 2023 Rate Order, subject to available resources, as detailed in the Company's response to DPS-13-379.

Second, regarding the costs to expand the Company's language offerings, these costs are embedded across workstreams because translation needs span communication

channels. For example, in its response to PULP-3-20, the Company outlined that aspects of translation services and language access needs are a component of direct mailings, bill inserts, email communications, web-based engagement, and customer feedback mechanisms.

Q. Did any other parties comment on the Company's language access initiative?

A. Yes. PULP indicated that it supported the Company's language access proposal, stating that the proposal would increase the percentage of limited English proficiency customers who receive notices in their native language from 80 percent to 88 percent. Separately, the New York City Policy Panel commented that the Company should provide "all" of its customer-directed materials in the languages most commonly spoken in New York City.

Q. Does the Company agree with New York City's comment?

A. The Company agrees with the importance of expanding language access to better serve customers. But at current or even at proposed funding levels, the Company cannot provide "all" of its customer-directed materials in a multitude of languages, particularly given the number and variety of customer communications the Company sends and

the number of languages spoken in its service territory. Though not feasible to translate all materials at the Company's proposed funding level, Staff's recommendation not to increase funding for the Company's language access initiative would render the Company unable to further increase the number of customer-directed materials translated or the number of languages into which those materials are translated.

Q. Did Staff provide any additional reasons for recommending that the Commission deny the Company's request for incremental O&M funding for the OAS?

A. No.

Q. Did any other party in these proceedings make any specific recommendations regarding the OAS?

A. Yes. The New York City Policy Panel recommended that the Company conduct further due diligence on its proposed use of the OAS before implementing it. It further recommended that the Commission require the Company to develop safeguards for the use of the platform and review this proposal in a separate proceeding open to public comment.

In addition, as discussed further in Section III.A, PULP recommended that the Commission approve the Company's

request to fund the OAS, subject to certain conditions regarding customer enrollment in the EAP.

Q. What reasons did New York City provide for recommending that the Company not implement the OAS at this time?

A. NYC wrote that it "concerns with the proposal and potential unintended consequences from using OAS," including as to customer privacy rights, the use of aggregated census data, potential customer confusion and frustration regarding their eligibility, effects on the New York City Human Resources Administration (HRA) if there is an influx of ineligible applications, a lack of analysis in evaluating the OAS solution, and disparities in internet access given that the program relies on customer email.

Q. Does the Company agree with New York City's recommendations?

A. No, the Company does not agree with New York City's recommendation to delay implementation of the OAS.

Q. Why does the Company disagree with New York City's proposals concerning implementation of the OAS?

A. In its responses to NYC-11-212 through 233, the Company detailed the background and merits of the OAS proposal.

These responses address the concerns raised by New York City. Specifically:

- **Data privacy:** The Company has privacy processes and controls in place, managed through its Enterprise Data Privacy Program and relevant corporate instructions and IT procedures, to secure customer data in OAS as it does with other technology platforms. For example, by contracting with the Company, Opower will be obligated to meet the Company's rules and guidelines regarding data privacy, information integrity, and information security. OAS also would be required to complete the Company's end-to-end IT review, at which time it will complete a privacy and cybersecurity review and document internal controls and processes to mitigate these risks. (NYC-11-220, NYC-11-221.)
- **Influx of ineligible applications:** OAS campaigns will be targeted at customers eligible for, but not enrolled in, the EAP. (NYC-11-212.)
- **Inadequate evaluation:** The Company evaluated OAS based on past experiences with Opower and benchmarking from another utility whose customers were six times more

likely to sign up for arrears management after engaging with Opower, demonstrating the tool's effectiveness in engaging customers. The Company would be the first large utility in New York to leverage OAS for affordability program enrollment and therefore plans to closely evaluate the success of this effort based on customer activity and experience metrics, such as customer interaction with the tools provided (e.g., survey completion rates and email open or click-through rates), applications to the EAP following interaction with the tool, and customer sentiment. (PULP-3-21, NYC-11-218, NYC-11-219.)

- **Concerns regarding the "digital divide":** The Company believes a multi-channel approach to engagement to meet customers where they are is the most effective approach to outreach. Pursuing personalized email campaigns for customers who engage digitally will not stop the Company from continuing in-person outreach and engagement events for customers who do not.

Q. Did New York City make any other recommendations regarding customer outreach and education regarding EAP enrollment?

A. Yes. New York City also recommended that Con Edison work with state and local agencies and other organizations to identify and enroll eligible customers in its EAP.

Q. Does the Company agree with this recommendation?

A. Yes. The Company is committed to engaging with state and local agencies and other organizations to identify and enroll eligible customers in its EAP and believes the Outreach and Education funding request presented in Exhibit__(CO-08) will increase the Company's ability to reach more customers. In particular, the FTE requested in this proposal will equip the Company to further personalize its outreach approach, including expanded event coverage throughout New York City and Westchester County. In-person events are a complement to email outreach, and a multi-channel rather than one-size-fits-all approach is critical to customer engagement.

Q. Did Staff provide any additional reasons for recommending that the Commission deny the Company's request for incremental O&M funding to increase its development and distribution of outreach and education materials?

A. No.

Q. What would be the consequence for the Company's community outreach efforts if the Company is not able to increase its outreach to customers?

A. As referenced above, the FTE requested in this proceeding would support the Company's ability to conduct more community outreach events. Without additional capacity, the Outreach and Education team will be unable to increase communication and transparency regarding energy safety, scam awareness, new program initiatives, energy management, energy efficiency and other clean energy programs, energy savings, financial resources, and other Company initiatives. Further, failure to increase targeted EAP outreach through in-person events could result in fewer eligible customers receiving discounts to reduce their energy bills.

Q. Did Staff provide any additional reasons for recommending that the Commission deny the Company's request for incremental O&M funding to continue smart meter-related communications that had previously been included in the Company's separate AMI awareness budget?

A. No.

Q. What would be the consequence for customers if the Company is not able to communicate insights to customers using smart meter data?

A. Without funding for AMI engagement communications, the Company would not be able to continue to provide customers with information tailored to their specific energy needs and usage. As a result, the Company would be forced to limit personalized AMI messaging and instead provide high-level tips that may not be relevant to all customers. In doing so, it runs the risk of those tips not working for customers and having customers lose trust in the Company's efforts to help them save money by saving energy. The ability to continue delivering personalized messaging based on customers' individual energy needs was part of the original business case for AMI, and ongoing outreach funding is required to enable its ongoing effectiveness.

Q. Please comment on Staff's recommendation of a downward-only budget reconciliation for Customer Outreach and Education.

A. A downward-only reconciliation for Customer Outreach and Education is inappropriate. A downward-only reconciliation exposes the Company to all the downside risk of cost overruns, while providing no opportunity for recovery if

costs exceed the forecast. Imposing a downward-only reconciliation would also hinder the Company's ability to respond to evolving customer needs, as Staff has suggested elsewhere in its testimony.

Q. Did the Staff Consumer Services Panel raise any other issues in its discussion of customer outreach and education?

A. Yes. At pages 43-45 of its testimony, Staff raised concerns and made recommendations regarding customer options to schedule gas service line inspection appointments. The Company is responding to these concerns and recommendations in the rebuttal testimony of its Gas Infrastructure and Operations Panel.

III. Supporting Vulnerable Customers

A. Energy Affordability Program Rules and Funding

Q. Did the Company propose any changes to the program rules for its EAP?

A. Yes. In compliance with the Commission's Rate Order issued in Cases 22-E-0064 and 22-G-0065, the Company proposed in the testimony of its Gas Rates Panel to establish separate gas heating rates in Service Classification 3 (SC3) for customers with 1-4 dwelling units and customers with more

than four dwelling units. Building on that proposal, the Company proposed to limit participation in the EAP by SC3 gas heating customers to residential customers with 1-4 dwelling units.

Q. Why did the Company propose this change?

A. If a customer in SC3 has more than four dwelling units, that means the service is for a central gas heating account serving the entire building, not individual tenants. In those cases, any EAP discount would go to the owner of the multifamily building, not individual tenants, and the Company cannot verify that the discounts it provides will be passed on to tenants through measures like rent discounts.

Q. Did Staff have a recommendation with respect to the Company’s proposal?

A. Yes. Staff recommended that the Company not remove these larger customers from the EAP at this time because the gas account holders meet the income qualifications for at least one of the public assistance programs required for enrollment in the EAP. Staff also wrote that it did not know whether this issue applied to other utilities and so recommended referring it to the EAP Working Group.

Q. Does the Company agree with Staff's recommendation?

A. No. The accounts the Company proposes to exclude are shared gas accounts for large multifamily buildings. The residents of these buildings are not directly responsible for the gas utility bill. Applying a bill discount to the building's shared heating account is not an effective way to assist these residents because, as discussed above, the Company cannot verify that the account holder would pass these benefits to the residents in the building. In addition, the Company is not able to verify whether the individual tenants would be eligible for the EAP.

Q. Did any other parties comment on the Company's proposal to limit EAP eligibility for SC3 customers to those in 1-4 family residences?

A. Yes. New York City, through its witness Michele Chait, stated that it supports the Company's proposal for the reasons stated in this Panel's initial testimony.

Q. What recommendations did the Office of Assemblymember MaryJane Shimsky make regarding the EAP?

A. Assemblymember Shimsky, through witness Pascal Jean-Gilles, said that Con Edison must do more to identify ratepayers who need the EAP.

Q. Did Assemblymember Shimsky offer any suggestions for how to do so?

A. No.

Q. Does the Company agree with Assemblymember Shimsky?

A. Yes, which is why the Company has proposed in this proceeding to expand its outreach efforts, on top of the numerous ways the Company currently seeks to expand customer enrolment in the EAP.

The Company currently identifies customers eligible for the EAP through its quarterly matches with HRA and the Westchester County Department of Social Services (DSS), through which those agencies tell the Company which customers are enrolled in a qualifying public assistance program.

In addition, customers may apply for the EAP if they are enrolled in a qualifying program and have not been enrolled automatically through this quarterly match. The Company conducts outreach and education to inform customers about the EAP and how to apply. In this proceeding, as discussed above, the Company has requested additional resources to enhance outreach, including for the EAP, and to leverage the OAS to identify additional customers who

may be eligible for the EAP. (See Exhibit__CO-08 Customer Outreach and Education.)

Q. What recommendations did PULP make regarding the Company's EAP?

A. PULP made four recommendations with respect to the Company's EAP. First, PULP recommended that the Company implement what it calls a "Customer Service Quality Metric" to track each month the number of EAP self-certifications and other manual enrollments in the EAP. PULP recommended that the Company report this information quarterly and include a narrative description of factors impacting enrollment trends.

Second, PULP recommended that the Company commit to petition the Commission for the ability to suspend the removal of customers from the EAP based on the file match if the federal government reduces funding for the qualifying public assistance programs – such as the Home Energy Assistance Program (HEAP), the Supplemental Nutrition Assistance Program (SNAP), and Medicaid — through which the file match determines which customers are eligible for the EAP. PULP also asked the Company to commit

to suspending such removals unilaterally if it could do so without Commission approval.

Third, PULP recommended that the Company study the factors that PULP says has led to a disparity in EAP enrollment rates between customers in DACs and customers in non-DACs who spend a similar percentage of their incomes on energy.

And fourth, PULP recommended that the Commission approve the Company's proposal to implement the OAS, contingent on the Company's commitment to use that tool to equalize EAP enrollment between DACs and non-DACs that have similar energy burdens.

Q. Does the Company agree with PULP's proposal to implement a "Customer Service Quality Metric" to track the number of customers who self-certify for the EAP or are manually enrolled in the EAP each month?

A. No. Currently, the Company reports EAP data monthly, with a summary report filed annually in February that includes data on EAP self-certifications. PULP's proposed metric would be duplicative, unnecessarily burdensome, and inconsistent with the other utilities in New York.

Further, PULP clarified that manual enrollment, and associated requested reporting, refers to Company representatives assisting customers with documentation of eligibility and processing of EAP enrollment through such channels as outreach events and through inbound and outbound customer calls. (See Exhibit__(CO-17), PULP's Response to Con Edison's First Set of Information Requests, Question 3.) Manual enrollment is a way in which Company representatives help customers enroll through the self-certification process and not a separate method of enrollment. Accordingly, there is no need to report "manual enrollments" separately from self-certifications.

To the extent that parties seek changes in the standard utility reporting regarding EAP enrollment, they should do so statewide through the EAP Working Group or the Commission's generic low-income proceeding to maintain consistency across the State's utilities.

Q. Does the Company agree with PULP's recommendation that it commit to petition the Commission to suspend the removal of customers from the EAP based on federal decisions regarding program funding?

A. The Company shares PULP's goal of mitigating the impact of uncertainty around federal funding for public assistance programs on EAP enrollment. The Company submits, however, that any changes to eligibility rules should be made at the statewide level to maintain consistency across utilities.

Q. Does the Company believe that it can suspend the removal of customers from the EAP unilaterally, without Commission approval, in the circumstances PULP identified?

A. No. As the EAP is subject to statewide orders on eligibility and enrollment and is funded through rates, the Company does not believe it can unilaterally determine to continue issuing EAP credits to customers who have not satisfied the criteria for enrollment.

Q. Does the Company agree with PULP's recommendation that it study the factors that PULP says have led to a disparity in EAP enrollment rates between customers in DACs and customers in non-DACs who spend a similar percentage of their incomes on energy?

A. No. The Company does not believe that PULP has provided an adequate factual basis to require such a study, nor has it provided any suggestion of how the Company would conduct such a study.

Q. Did PULP offer an estimate of the number of customers in non-DACs who it believes would be enrolled in the EAP if enrollment rates were similar between DACs and non-DACs with similar energy burdens?

A. Yes. PULP estimated that an additional 45,000 customers would be enrolled in the EAP if customers in non-DACs were enrolled at the same rate as those in DACs with similar energy burdens.

Q. Does the Company agree with PULP's analysis?

A. No. The Company cautions that it is difficult to quantify the number of customers who are currently eligible for the EAP but not enrolled in the EAP based only on census tract-level energy burden data. PULP's estimate may include low-income customers who are not eligible for the EAP because they are not enrolled in a qualifying program. The Company expects that these customers would become eligible under the Enhanced EAP, the statewide effort to expand eligibility to low- and moderate-income customers regardless of enrollment in a qualifying program. In addition, PULP's estimate may reflect customers who are highly energy burdened but not income-eligible for the EAP, since energy burden reflects the impact of both energy

costs and income. Additionally, PULP's analysis may also capture low-income individuals who are not Con Edison customers because they live in NYCHA buildings or for other reasons.

Q. Does the Company agree with PULP's recommendation that funding of the OAS be made contingent on the Company committing to use that tool to equalize EAP enrollment between DACs and non-DACs that have similar energy burdens?

A. The Company agrees that the OAS would be a valuable tool to reach low-income customers not enrolled in the EAP, including those with high energy burdens residing in non-DACs. The Company, however, does not support adopting any requirement to enroll a minimum number or share of customers in certain census tracts as a result of using this tool. The Company cannot dictate what customers, whether in DACs or non-DACs, do with the information provided through the OAS. Nor has PULP shown that there is a true disparity between enrollment rates in DACs and non-DACs with similar energy burdens or that any such disparity is the result of a difference in the Company's outreach efforts.

B. Energy Affordability Program Resources

Q. What was the Staff Consumer Services Panel's recommendation regarding the Company's proposal to add seven FTEs to its Public Assistance Central (PAC) group, which administers the Company's EAP?

A. Staff agreed with the Company's proposal to add three CSRs and one supervisor to review customer self-certification and recertification applications and send recertification reminder notifications to customers who are not automatically enrolled in the EAP. Staff, however, recommended that the Commission reject the remaining three FTEs that the Company requested.

Q. What reasons did Staff give for recommending that the Commission reject those three FTEs?

A. Staff argued that the planned responsibilities of the three FTEs are currently carried out by existing resources.

Q. Does the Company agree with Staff's recommendation that the Commission reject the three requested FTEs?

A. No. The work of the three FTEs requested cannot be completed by the resources currently dedicated to the EAP due to the increasing complexity and increase in workload associated with EAP program management since the launch of

self-certification in 2022. When the Company implemented the self-certification program, it did not add new resources to the PAC management team. The team's workload, however, has increased unsustainably to include monitoring EAP application volumes, collaborating with the Marketing and Outreach teams to educate customers about the EAP, handling phone calls from customers who have applied, responding to inquiries from elected officials on behalf of customers, and implementing program updates and improvements, including those required by Commission order, such as changes to the discount calculation. Additional management resources will allow the PAC team to more effectively administer this workload and achieve additional progress in these areas. Hiring the additional three FTEs would also allow the existing resources to complete such tasks as improving and aligning EAP training for CSRs on the PAC team and in the Contact Center, as well as for the Company's Outreach team.

Q. Why does the Company need an additional FTE for an EAP Enrollment Process Improvement Senior Specialist?

A. This position is needed to implement improvements to the EAP enrollment process. This work is incremental to the

current responsibilities of the existing manager. Today, customers who enroll in the EAP by self-certifying to their eligibility must recertify annually to remain in the program. In addition, customers are being removed by the agencies from the automatic file match process because of legal limitations on the use of data on federal public assistance programs, most recently SNAP. The Company expects an increasing number of applications because of the annual recertification requirement and the expectation that more customers will need to self-certify going forward because the agency match process will draw on data for fewer qualifying programs. High application volume has resulted in extended application processing times for customers seeking to enroll. The Company has requested additional FTEs to address this challenge but must streamline and continuously monitor the process to sustain the self-certification pathway. The Company's intent in requesting a Senior Specialist is to engage in ongoing efforts to enroll more customers through low-effort matches, such as by migrating customers who applied to self-certify but might be captured in a match to the automatic enrollment pathway or identifying new programs

for the match. The Company intends for such process improvements to reduce the number of customers who need to self-certify to enroll and then recertify annually. That, in turn, will reduce administrative burden on both customers and the Company and enable the Company to enroll customers who do self-certify in a timelier manner.

Q. Did Staff provide any other comments regarding the proposed FTE for an EAP Enrollment Process Improvement Senior Specialist?

A. Yes. Staff argued the role is not needed because the Company referenced barriers that are outside of its control in describing the proposed responsibilities for this FTE, such as improving data sharing to expand program enrollment, citing the Company's response to DPS-14-401.

Q. Does the Company agree with Staff's assessment?

A. No. The fact that some barriers to automatic enrollment are outside of the Company's control does not negate the need for this FTE.

Q. Why does the Company need an additional FTE for a Senior Specialist needed to coordinate with HRA and DSS?

A. The Company needs this Senior Specialist role to enhance coordination with the agencies. In addition to coordinating

the quarterly file match, the PAC team works closely with the agencies to provide customers with information to complete applications for public assistance programs like the Utility Guarantee/Direct Vendor program. The PAC team also enrolls agency users in the Company's PAC web platform, through which agency employees can request and retrieve customer information, respond to questions from agency employees, provide training and support to new and existing users, maintain PAC Web system functionality, and monitor data quality within the system.

The Company expects this work to continue to grow. For example, the Company is currently coordinating with HRA to launch an API to streamline data exchange to help HRA review client applications for public assistance programs. Dedicating a resource to coordinate with the agencies will allow the Company to provide timely support to agency staff to help their clients apply for and enroll in programs like HEAP, SNAP, Temporary Aid to Need Families, Safety Net Assistance, and others.

Q. Why does the Company need an additional FTE for a Senior Planning Analyst?

A. The Company needs the Senior Planning Analyst to facilitate policy initiatives being pursued through the EAP Working Group. The EAP Working Group comprises stakeholders, including the utilities, and undertakes work to evaluate and improve the EAP. The Company's efforts as part of the working group include collecting data and information to inform the working group's discussions, coordinating with other utilities, and managing initiatives that the working group identifies for the utilities to implement. Current initiatives include launching the Energy Affordability Guarantee (EAG) Pilot and the Enhanced EAP, developing an API to share data with the Office of Temporary and Disability Assistance, and conducting the Low-Income Energy Use Bill Study. Today, the Company can complete this work because it has reallocated resources. This, however, is unsustainable in the long term because those resources were temporarily removed from a number of other teams that address customer billing and other aspects of the customer experience. The return of these resources is incorporated into the organization's overall staffing needs.

C. Elderly, Blind, and Disabled Customers

Q. Did any party make recommendations with respect to the protection of elderly, blind, and disabled (EBD) customers – collectively also known as CONCERN customers - from termination for nonpayment?

A. Yes. PULP, through its witness Mr. Yates, recommended that the Company screen customers for potential EBD status during all collections-related interactions.

Q. Does the Company agree with PULP's recommendation?

A. Under the Company's current practices, field collectors already conduct a CONCERN interview during all field visits for termination where they speak to the customer and the customer is not already coded as a CONCERN customer. This interview requires the field collector to confirm the following information before a termination can progress:

- If the individual interviewed is the customer of record;
- If the individual interviewed, or everyone in the household, is 62 or older, blind, disabled, or less than 18 years old; and
- If CONCERN-eligible based on the above question, what EBD categories are applicable.

If the field interview reveals that the customer should be coded as CONCERN, the collector will document it on their handheld device, at which point the collector will be prompted that Company procedures do not allow them to complete the termination.

Additionally, EBD prompts are provided to all residential customers upon turn-on, whether through the contact center or online sign up via MyAccount. Information regarding the CONCERN Program, including an application for enrollment, is also part of the annual notice of rights and responsibilities pamphlet that the Company sends to customers. If a customer calls the Company regarding a disconnection notice and mentions their EBD status to a CSR, the CSR would then complete EBD screening to code the customer as CONCERN and the termination would not proceed.

As the Company's practices are aligned with Home Energy Fair Practices Act (HEFPA) regulations, with additional controls in place through field interviews, the additional screening recommended by PULP is not necessary for all collections-related interactions.

D. Electric Heating Customers

Q. Did any parties make recommendations regarding electric heating customers?

A. Yes. PULP, through its witness Mr. Yates, made several recommendations regarding the identification of electric heating customers, the process to investigate and recode accounts for those customers, HEAP grants, and annual reporting.

Q. What recommendation did PULP make regarding identifying electric heating customers?

A. PULP recommended that the Company develop analytical tools to assist in identifying electric customers now coded as non-heating who may be responsible for their own heating costs. PULP also recommended that the Company proactively engage in direct outreach to these customers to determine whether they are responsible for their own electric heating costs and to notify them that they can schedule a field visit to their premises for the Company to verify that they have electric heating.

Q. Does the Company agree with PULP's recommendation to develop an analytical tool and engage in customer outreach to identify electric heating customers?

A. No. The Company updates the electric heating codes for customers who have installed heat pumps to be used as their heating source and received incentives for decommissioning their existing heating systems through the Clean Heat Program. The Company will also continue efforts to strengthen the process of updating electric heating codes for new customers who install heat pumps through the Clean Heat Program.

Additionally, the Company is currently exploring alternative methods to identify electric heating customers, including analyzing customer usage data for EAP customers to identify those who use electric heating to update their accounts with the correct electric heating code. Conducting additional direct outreach to customers to schedule field visits to verify electric heating will place a significant strain on the Company's resources.

Q. What recommendation did PULP make regarding the process to investigate and recode the accounts of electric heating customers?

A. PULP recommended completing, on a timely basis, the steps necessary to investigate and, as applicable, recode accounts for all customers requesting recoding. PULP also

recommended prioritizing customers who receive, or screen as eligible for, bill assistance or protections against service termination, especially those who have received HEAP or Emergency HEAP in the past or have qualified for EAP through another qualifying program.

Q. Does the Company agree with PULP's recommendation to prioritize customers eligible for bill assistance or protections when investigating and recoding accounts for customers claiming electric heat?

A. No. The Company recognizes the importance of timely investigation and recoding accounts for all customers who request an investigation. The Company's existing process, detailed in its response to PULP-7-39, prioritizes work based on the oldest case.

Q. What recommendation did PULP make regarding HEAP grants?

A. PULP recommended that the Company supplement HEAP grants in certain cases where customers were eligible for a larger HEAP grant than they were awarded. This could occur if the customer account were coded as non-heating (i.e., the customer does not directly pay for their heating fuel) when the customer actually used electric heating.

Q. Does the Company support PULP's proposal?

A. No. The Company does not recommend replacing HEAP grants with ratepayer funds.

Q. What recommendation did PULP make regarding annual reporting to the Commission?

A. PULP recommended the Company annually report to the Commission the number of:

1. Customers contacted to determine whether they have become responsible for their own electric heating needs;
2. Requests for recoding received by the Company;
3. Investigations completed;
4. Customers recoded as electric heating;
5. Open rate cases at the end of the Rate Year;
6. Customers filing complaints with the Company pertaining to requests for recoding;
7. Customers filing complaints with the DPS Office of Consumer Services pertaining to requests for recoding, and;
8. Customers issued credits, pursuant to PULP's recommendation above regarding HEAP grants, in the amount of regular HEAP heating grants in effect as of

the date the customer requested to have their Con Edison account recoded.

Q. Does the Company agree with PULP's recommendation for annual reporting?

A. No, as implementing such detailed reporting would be unduly burdensome. Details about complaints filed with the DPS Office of Consumer Services are addressed in a separate proceeding in Case 19-00950.

E. Tenants in Multiple Dwellings Subject to Termination

Q. Did any parties make recommendations regarding tenants in multiple dwellings subject to termination for nonpayment?

A. Yes. PULP, through its witness Mr. Yates, made three recommendations regarding service terminations in multiple dwellings. First, PULP proposed that utilities make increased efforts to locate landlords for buildings facing termination, including by researching and contacting their litigation attorneys. Second, PULP proposed more targeted outreach to tenants in multiple dwellings, including by informing the tenants' association (if any) of the pending termination, distributing flyers, and going door to door to individual units to provide notice. And third, PULP

recommended that the Company notify local elected officials of any pending termination.

Q. Does the Company agree with PULP's recommendation that the Company do more to locate the landlords of multiple dwellings subject to termination, including by researching court cases involving landlords and contacting their attorneys?

A. No. The Company already maintains contact information on building owners in its billing system and contacts them regarding arrears and potential service terminations as required by law.

Moreover, the suggestion that the Company contact landlords' attorneys on publicly filed litigation matters, while well-intentioned, is not practical. Public court records will show that those attorneys represented landlords in connection with discrete legal disputes. Those attorneys, however, may not also represent the landlords in connection with their utility arrears or potential service termination. In addition, depending on the age of the case, the attorney may no longer represent the landlord in any capacity. And finally, the Company only shares customer information with third parties when authorized by the

customer or when required by law. Here, absent such an authorization or legal requirement, it would be inappropriate for the Company to share information about a landlord's arrears and potential service termination with its attorneys on unrelated matters.

Q. Does the Company agree with PULP's recommendation that the Company increase its outreach to the tenants of multiple dwellings facing service termination, including by contacting a tenants' association (if one exists)?

A. No, because PULP's recommendations are largely redundant of the Company's existing legal obligations. Under HEFPA and its implementing regulations, the Company must mail individual notices to the occupant of each unit in a multiple dwelling at least 18 days prior to termination and post notices in the building's public areas at least 15 days prior to termination. Those notice requirements are designed to inform the tenants of such buildings of the potential service termination, including the tenants who would be active in any tenants' association, and PULP has offered no suggestion that they are inadequate.

Q. Does the Company agree with PULP's recommendation that the Company notify local elected officials representing the

districts associated with multiple dwellings at risk of service termination?

A. No, because again PULP's recommendation is largely redundant of the Company's existing obligations. Under HEFPA and its implementing regulations, the Company must provide notice by mail at least 18 days before the potential termination to the local health officer and director of the social services district for the political subdivision in which the multiple dwelling is located; if the multiple dwelling is located in a city or village, to its mayor or manager; or, if the multiple dwelling is located in a town, to its town supervisor; to the county executive of the county in which the multiple dwelling is located; and, in New York City, to the Department of Housing Preservation and Development. The Company must then repeat such notices not more than four business days nor less than two business days before termination. PULP's proposal would add to this notice requirement by also including members of the State Assembly and State Senate, but it has not shown that any of the present procedures are inadequate.

F. Weather-Related Protections from Termination

Q. Did any parties make recommendations regarding protections against termination for nonpayment for residential customers during periods of extremely hot or cold weather?

A. Yes. PULP recommended that the Company retain its existing customer protections, subject to an expected Commission order in Case 24-M-0586 imposing standard utility procedures statewide in cases of extreme heat.

New York City, through its Policy Panel, recommended changes to the Company's cold-weather protections. Specifically, New York City recommended that the current triggering threshold of 32 degrees be increased to 40 degrees for residential customers and 50 degrees for residential customers enrolled in the Company's EAP or in regulated affordable housing.

Q. Does the Company agree with PULP's recommendations?

A. Yes. The protections adopted by the signatory parties in the Company's 2023 Joint Proposal (including New York City) and implemented in the 2023 Rate Order in Cases 22-E-0064 and 22-G-0065 struck an appropriate balance between the potential hardship of service termination during extreme weather events and the risk that forgoing termination will

lead to increased arrears and larger customer balances. Those protections also represented a significant compromise by the Company, exceeding its obligations under Commission regulations and the Company's then-existing policies. Even more than two years after the parties filed that Joint Proposal, those protections also remain, on the whole, more protective than those adopted by any other utility in New York State.

Q. Does the Company agree with New York City's recommendation to increase the temperature threshold for cold-weather protections from 32 degrees currently to 40 degrees for non-EAP residential customers and 50 degrees for residential customers enrolled in the EAP or in regulated affordable housing?

A. No. State policy, as reflected in Section 32(c) of the Public Service Law, is that protections against termination during periods of extreme cold are warranted where a resident is "likely to suffer a serious impairment to health or safety as a result of termination." By relying on the possibility that temperatures above the existing threshold could, on the margins, impact preexisting chronic physical illnesses or mental health conditions, New York

City's proposal ignores the requirements that any impairment be "serious," "likely," and "a result of termination."

As a threshold matter, New York City provides no support for its contentions that a higher temperature threshold would reduce the impacts of chronic illness, much less reduce the incidence of residents being "likely to suffer a serious impairment to health or safety as a result of termination." It provides no sources for any of its data and cites no studies in support of any of its contentions. It cites electric space heaters and gas stoves as potential health hazards, even though customers would not be able to use those appliances if their utility service were terminated for nonpayment. Even its anecdotes fail to support its position; the tragic fire that claimed three lives in the Bronx in 2013 was reportedly the result of residents using candles for light, not heat, on a day where the high temperature was above 50 degrees Fahrenheit.

New York City's comparisons of its proposed temperature thresholds to World Health Organization (WHO) standards and New York City's heating law are misplaced. First, the WHO standards concern indoor temperatures, not

outdoor temperatures. New York City has not shown what outdoor temperatures would yield indoor temperatures below 64.4 degrees Fahrenheit, especially in a service territory where most residential customers live in multiple dwellings that are insulated on one or more sides by adjacent units. Moreover, the studies underlying that recommendation only show with a "moderate" level of certainty that temperatures below 64.4 degrees Fahrenheit affect respiratory or cardiovascular health across a population, not that such temperatures would "likely" cause any individual to suffer "serious impairment to health or safety."

Second, New York City's heating laws are not a relevant point of comparison. Those laws concern the obligations of building owners to provide heat to tenants who pay to live in their buildings, not a utility's obligation to continue providing service to customers who have not paid their bills. Moreover, New York City's heating laws are not based on the same "serious impairment to health or safety" standard as the Public Service Law.

Moreover, the likelihood of serious harms resulting from termination is undermined by the fact that most customers potentially subject to termination do not

actually experience termination of service because they pay their arrears or enter into a DPA or, if their service is terminated, are reconnected within 24 hours of disconnection. The Company's CARs for April and May 2025 show that more than 80 percent of customers who have their service disconnected are reconnected within the reporting month, with most reconnected within 24 hours.

Finally, to the extent any changes are warranted to the Company's cold-weather protections, the Company recommends that they be enacted in a public statewide proceeding similar to that for hot-weather protections in Case 24-M-0586.

Q. Does New York City's proposal consider the practical consequences of curtailing service terminations?

A. Not correctly. By its own admission, New York City's proposed 40-degree temperature threshold would forbid residential service terminations for almost half of the days during the City-defined heating period lasting eight months of the year, from October 1 to May 31. Given that the Company already does not undertake residential service terminations on Fridays, Saturdays, Sundays, or public holidays, the City's calculations understate the extent to

which the Company would be unable to perform residential service terminations. And if this analysis were limited to the shorter cold weather period established in Commission regulations, from November 1 to April 15, then the percentage of days without terminations would be even higher.

Termination of service is a last resort which the Company pursues only after extensive outreach, including several notices and attempts to contact the customer and offering payment plans to eligible customers. In addition, following receipt of a turnoff notice, income-eligible customers can access bill relief through the Utility Guarantee/Direct Vendor programs administered by HRA and DSS. The Company treats these benefits as a payment that halts the service termination process or result in reconnection if the customer's service has been shut off.

Additionally, as Staff points out in its recommendations regarding extreme heat protections for utility customers, "a balance must be struck between halting disconnections and the potential long-term costs." See Case 24-M-0586, *In the Matter of Establishment of Extreme Heat Protections, Practices and Procedures*,

Department of Public Service Staff Report and Recommendations Regarding Utility Customer Protections during Extreme Heat Events, filed May 20, 2025, p. 33. The City's proposal to substantially restrict collections activity does not strike this balance, as it would result in some customers continuing to accumulate arrears, making it more difficult for those customers to get current on their accounts and resulting in additional costs to all customers from higher uncollectible expenses.

G. Additional Protections from Termination

Q. Apart from weather-related protections, did any parties make additional recommendations regarding protections for residential customers from termination for nonpayment?

A. Yes, several parties made a variety of recommendations regarding such protections.

Q. Did the New York City Policy Panel offer any such recommendations?

A. Yes. New York City made several recommendations with respect to the termination process:

- When contacting a customer to inform them of pending disconnection, the Company (if it does not do so already)

should determine whether the customer participates in the EAP;

- If the customer is not enrolled in the EAP, then the Company should provide the customer with information about the EAP, including how to enroll and contact information for HRA or DSS, as appropriate;
- The Company should ask customers if they believe they would qualify for public assistance; and
- If a customer believes he or she would qualify for public assistance or is not sure, then the Company should give the customer a grace period of at least one billing cycle to seek public assistance.

Q. Does the Company agree with New York City's recommendation?

A. No, delaying termination for a month would only enable customers to fall deeper into arrears. Whether or not a customer is enrolled in the EAP, the better course of action for a customer facing termination is to enroll in a DPA, if eligible. The EAP program provides meaningful credits to a current bill. However, as the average residential arrears balance is $2,239 as of the Company's May 2025 CAR, the Company does not believe that enrollment

in the EAP or in a qualifying public assistance program would materially affect any individual customer's ability to pay off their arrears or enter into a DPA.

Q. Did PULP make any additional recommendations to protect residential customers from termination for nonpayment?

A. Yes. PULP recommended that Con Edison implement a plan to code previously uncoded residential customer accounts as "limited English proficiency" when a customer self-identifies during the collections process and provide a 15-day extension during which the Company will not pursue service termination.

Q. Does the Company agree with PULP's recommendation?

A. No, because the Company currently provides customers with several channels to engage in their preferred language and has even proposed to expand these options to include more bilingual CSR positions to better serve customers in their preferred languages, including Spanish, Cantonese, Mandarin, Polish, Russian, and Korean, as detailed in Exhibit__(CO-04-UPDATE) Contact Center Staffing and Training Program. Today, customers may indicate their preferred language at the start of service or at any time by phone or through MyAccount. The Company sends bill

messages, including shutoff notices, in both English and in Spanish to customers whose preferred language is coded as Spanish. Through the Contact Center, the Company offers live interpretation to customers who wish to speak a language other than English. Thus, customers have multiple channels through which to engage with the Company in their preferred language and PULP's proposal is not necessary and will only delay collections of arrears.

H. Additional Protections for Low-Income Customers

Q. Apart from those identified above, did any parties make additional recommendations to provide protections for low-income customers?

A. Yes. PULP reiterated a number of recommendations that PULP and AARP had previously raised by letter with Public Service Commission Chair Rory Christian and the chief executive officers of the state's major electric and gas utilities and discussed with Staff, the utilities, and other stakeholders in the EAP Working Group. Specifically, PULP recommended:

- Offering more flexible and affordable payment agreements to all utility customers;

- Waiving the use of financial statements for setting affordable payment agreements when the customer is able to make a down payment of 5 percent or greater of the total arrears;
- Offering any customer in the EAP a new minimum DPA, regardless of their prior history with payment agreements;
- Suspending late fees for any customer who makes a partial or full payment, and waiving the prior month's late fees as a result of that payment;
- Increasing direct outreach efforts, beginning with customers enrolled in the EAP, with a focus on phone calls to establish direct communication with households;
- Increasing direct outreach to any customer behind on payments by 60 days or more;
- Increasing direct outreach efforts to households with which the utility has not established direct communications, regardless of whether a customer's account is at risk of shut off, as a best practice to directly communicate with all customers as a proactive

measure due to the uncertainty of the HEAP and Emergency HEAP programs for the next heating season;

- Screening all callers for financial assistance;
- Screening all callers for account coding related to medical emergencies, life-sustaining equipment, or elderly, blind, or disabled status;
- Increasing the grant amount and expand eligibility for each utility company's financial assistance programs, and;
- Creating a DPS webpage that provides information and application related resources for the utility companies' independent grant programs.

Q. Does the Company agree with implementing all of PULP's recommendations in this rate case?

A. No. The Company is engaging with PULP and other stakeholders to address these recommendations through the EAP Working Group and recommends continuing this initiative at the State level to promote alignment across utilities. The Company's current practices are already consistent with several of PULP's recommendations, including conducting extensive direct outreach to customers in arrears through

bill messages, outbound calls, and emails; providing flexible DPAs with $0 down to eligible customers; only requiring financial statements from customers seeking a plan with $0 down (except for EAP participants, who do not need to provide such statements); and a recent increase in the grant available to customers through EnergyShare, the bill assistance program funded by Company shareholders and customer and employee donations.

IV. Metrics

A. Customer Service Performance Mechanism

Q. Did the Staff Consumer Services Panel make recommendations regarding the Company's proposal for Customer Service Performance Mechanism (CSPM) metrics and targets?

A. Yes, Staff made several specific recommendations regarding individual metrics and targets.

Q. What recommendations did Staff make?

A. The Staff Consumer Services Panel recommended (1) increasing the Company's performance targets for its two Customer Satisfaction surveys; (2) modifying the methodology for calculating the Company's Call Answer Rate performance metric; and (3) substantially increasing the negative revenue adjustments associated with the Company's

Call Answer Rate and Commission Complaint Rate metrics. Separately, the Staff Electric Resilience and Reliability Performance Mechanism Panel also recommended (4) rejecting the Company's proposal to eliminate its Outage Notification Incentive Mechanism (ONIM) as redundant of provisions in the Company's annual Emergency Response Plan.

Q. Please summarize the Company's proposed targets for the Customer Satisfaction Survey metric.

A. The Company proposes maintaining its current survey targets, notwithstanding the more challenging customer environment described elsewhere in this Panel's testimony. For its survey of Emergency Interactions, the Company proposes a target of 3.57 out of a possible score of 5.0, with increasing NRAs at scores of 3.49 and 3.41. For its survey of Non-Emergency Interactions, the Company proposes a target of 3.85 out of a possible score of 5.0, with increasing NRAs at scores of 3.75 and 3.65.

Q. Have these targets been consistent over time?

A. No. While the target for the Emergency Interactions survey has remained the same for the duration of the Company's current rate plan, the target for the Non-Emergency

Interactions survey increased from 3.75 in 2023 to 3.80 in 2024 to 3.85 in 2025.

Q. What changes did Staff recommend in the targets for the Company's Customer Satisfaction Survey metric?

A. Staff recommended increasing the initial target for the Emergency Interactions survey from 3.57 to 3.73, with increasing penalties at scores of 3.65 and 3.57. Additionally, Staff recommended increasing the initial target for the Non-Emergency Interactions survey from 3.85 to 3.94, with increasing penalties at scores of 3.84 and 3.74.

Staff calculated the figures for the initial targets by taking the two-year historic average for calendar years 2023 and 2024 and setting a target two standard deviations below the historical average.

Q. What reasons did Staff give for those recommendations?

A. Staff observed that "in the 2023 Rate Order, the Commission modified the Company's satisfaction survey mechanism from a telephone to an email-based survey mechanism and thus, there is two years of historical data." On page 55, Staff attempted to justify its calculation methodology on the grounds that, since 95 percent of the data in a normal

distribution falls within two standard deviations around the mean, therefore "performance results outside of this range would likely be due to a change in service level." Finally, on pages 55 and 57, Staff recommended an increase of target levels "to keep the metric relevant and avoid a degradation in its response to emergency [and non-emergency] transactions that customers have come to expect."

Q. Does the Company agree with Staff's recommendations?

A. No. As a threshold matter, Staff's explanation misapplies statistical principles by assuming that a 95 percent confidence level can be achieved with only two data points using a normal distribution. Staff has stated in other proceedings that it recommends performance targets with the goal of ensuring that utilities are penalized only for performance that is the result of utility operations, not normal, random variations in performance. To that end, Staff has represented that its methodology ensures this result with a 95 percent confidence level. But Staff's methodology actually yields a confidence level far below that threshold.

Q. Can you explain?

A. Yes. Staff's basic methodology is to take the historical average of a utility's performance on a customer service metric and set a performance target two standard deviations below the mean. Its theory is that a result below two standard deviations below the mean is likely to be the result of the utility's actions, not normal statistical fluctuations. To that end, Staff wrote that "[t]he resulting range represents a normal distribution where 95 percent of the data points are expected to fall. Performance results outside this range would be due to a change in service level, not random variations."

Q. What is a standard deviation?

A. Standard deviation is a statistical measure that describes the amount of variation or dispersion of a set of values from its mean, or average. Two data sets can have the same mean but different standard deviations. For instance, both sets {98, 99, 100, 101, 102} and {50, 75, 100, 125, 150} have a mean of 100. But because the data points in the first set are clumped more closely together, they have a lower standard deviation (σ=1.4) than the data points in the second set (σ=35.4), which are more widely distributed around the mean.

Q. What do standard deviations have to do with setting performance targets?

A. The theory underlying Staff's methodology is that by setting performance targets two standard deviations away from the mean, you can confidently distinguish actual utility performance problems from normal, random variations. The two data sets above illustrate this point. For the first set, you can set a performance target closer to the mean of 100 than you can for the second set, because the tight clumping of the data points in the first set means that the utility's performance should not be too far below the mean. But for the second data set, the fact that the data are so widely dispersed means that you lack the same degree of confidence as to whether a result just below the mean reflected a change in performance or normal, random variations, so you would need to set the performance target further from the mean to confidently identify an actual performance issue.

For example, if a new score of 80 appeared in both data sets, it would seem highly unusual in the tightly clustered set but well within expectations in the widely

spread one. This illustrates why standard deviation matters when interpreting performance changes.

Q. So there is merit to Staff's methodology?

A. Yes, but only with a sufficient number of historical data points.

Q. Why is that?

A. Because you need a sufficient number of historical data points to know where the mean is and how widely dispersed the data points actually are. With an infinite number of data points, you would have a perfect picture of the distribution of data, and you could use that data to set performance targets with a high degree of confidence. With only one data point, you would not know whether that data point was above or below the actual mean, or by how much, so it would be useless for setting performance targets with any degree of confidence.

Between those two extremes, as the number of data points increases, the picture becomes clearer, and you can have more confidence in using that data to set performance targets; but as the number of data points decreases, the picture becomes fuzzier and therefore less reliable for setting performance targets.

Q. What does this mean for the number of standard deviations needed to set a performance target with a high degree of confidence that the performance level represents actual performance, not normal, random variations?

A. It means that if you have more data points and a clearer picture of the actual distribution of data, you can obtain a given confidence level by setting a target at a relatively small number of standard deviations away from the mean. But with fewer data points, your picture of the actual distribution is less clear, and to obtain the same level of confidence you would need to set a target a larger number of standard deviations away from the mean.

Q. How many historical data points does Staff propose to use to set a new performance target for the Company's Customer Satisfaction Survey metrics?

A. Two.

Q. Is it normal for Staff to use just two data points to set a performance target using this methodology?

A. No. In Cases 24-E-0060 and 24-G-0061, Staff wrote that "traditional methodology for recommending metric targets" is to "calculate[] a utility's historical average performance using 60 months of data" and "then set[] the

initial target two standard deviations below that historical average."

Staff has recommended following this "traditional methodology" in most recent electric and gas utility rate cases. In its testimony in Cases 20-E-0380, 20-G-0381, 22-E-0317, 22-E-0318, 22-E-0319, 22-G-0320, 23-G-0225, 23-G-0226, 24-E-0322, 24-G-0323, 24-G-0447, 24-E-0461, and 24-G-0462, Staff recommended setting performance targets by using five years (60 months) of historical performance data and setting performance targets two standard deviations away from the mean.

Q. Has Staff ever deviated from this methodology in its recommendations of performance targets?

A. Yes. In several cases, Staff declined to recommend targets two standard deviations from the five-year historical average where the resulting target was, in its view, either too stringent or too lenient. For example, in Orange and Rockland Utilities, Inc.'s two most recent rate cases (Cases 21-G-0073, 21-E-0074, 24-E-0060, 24-G-0061), Staff recommended setting that utility's Call Answer Rate target one standard deviation below its five-year historical average, rather than two, to avoid lowering the utility's

performance target. And in Cases 22-E-0064 and 22-G-0065, the Company evaluated three years of data in proposing targets for its Emergency and Non-Emergency Interactions surveys; in its testimony, Staff agreed to use the same three years of data and then recommended targets 2.5 standard deviations below the mean, rather than two.

Q. Are you aware of any other case in which Staff has recommended setting customer service performance targets two standard deviations below the mean of just two years of historical data?

A. No.

Q. Has Staff explained why it typically uses this "traditional methodology"?

A. Yes. Staff has explained that it uses this methodology to ensure that the utility is neither rewarded nor punished for results within a normal range of variation. For example, in Cases 24-E-0322 and 24-G-0323, Staff wrote, "A performance result that is more than two standard deviations from the average carries a 95 percent confidence level that the result is not due to normal, random variations. Accordingly, we used two standard deviations as it ensures that the Company's performance is based on the

impact of the Company's actions and not the result of an issue that was outside of its control." Staff has used the same or substantially similar language in its testimony in many other rate cases.

Q. Is Staff correct that a performance that is more than two standard deviations from the average carries a 95 percent confidence level that the result is not due to normal, random variations?

A. As explained above, that depends on the number of historical data points. With enough data points, two standard deviations could yield a 95 percent confidence level. But under Staff's "traditional methodology," it would not. Using the appropriate statistical method—the t-distribution—a sample of five historical data points with a threshold set at two standard deviations below the mean yields only an 88.4 percent confidence level, not 95 percent. With five historical data points, achieving a 95 percent confidence level would require setting the performance target approximately 2.78 standard deviations below the mean — not just two — according to the t-distribution.

Q. You previously testified that Staff has proposed to set the Company's performance targets for its Customer Satisfaction Survey metrics at two standard deviations below the average of two years of historical performance, not five, and that Staff represented that the resulting range would represent a normal distribution in which it would expect 95 percent of data points to fall. Is Staff's testimony correct?

A. No. If five data points yield only an 88.4 percent confidence level using two standard deviations, then using just two data points drops that confidence level even further — to approximately 70.5 percent — far short of the 95 percent threshold Staff claims. To achieve Staff's desired 95 percent confidence level with just two historical data points, it would have to set the performance targets 12.71 standard deviations below the mean, not two standard deviations.

Q. Are there other reasons the Company disagrees with Staff's methodology?

A. Yes. Staff's use of the Company's historical performance in 2023 and 2024 fails to consider current changes in the operating environment that will continue to impact future rate years. For example, the resumption of credit and

collection activities and other factors outside of the Company's control - such as rising inflation, the high cost of living, and extreme weather events - are likely to yield lower customer satisfaction scores unrelated to the Company's performance. This is evidenced by the Company's performance so far in 2025. From January to May, the average score for the Emergency Interactions survey was 3.60, which is below the Company's average performance in 2024 of 3.77. Similarly, the average score for the Non-Emergency Interactions survey was 3.80, which is also below the Company's average performance in 2024 of 3.93. Both of these 2025 performances to date are also well below the levels Staff recommended in its testimony based on 2023 and 2024 performance data.

In addition, the use of standard deviations from the historical average cannot be an absolute methodology. For both the Emergency and Non-Emergency surveys, the standard deviation is very small, and yet Staff mechanically applies the methodology anyway. As a result, performance below Staff's recommended targets would not represent a statistically significant change in satisfaction scores but would nevertheless result in significant penalties. In a

volatile operating environment, without evidence that the Company's current performance is inadequate, such stringent targets put the Company at undue risk for a negative revenue adjustment (NRA) that is not warranted by the service it provides its customers.

Q. How does the Company currently calculate the Call Answer Rate performance metric?

A. The Company calculates the Call Answer Rate based on the system-wide number of calls answered by representatives within 30 seconds during regular business hours (Monday to Friday, 9 a.m.–5 p.m., excluding holidays) divided by the system-wide number of calls answered by representatives.

Q. How long has the Company used this methodology?

A. The Company has used this methodology since at least 2010.

Q. Has the Commission approved this methodology in this past?

A. The Commission has approved this methodology in its rate orders in all of the Company's rate cases since at least 2010, including Cases 09-E-0428, 13-E-0030, 13-G-0031, 16-E-0060, 16-G-0061, 19-E-0065, 19-G-0066, 22-E-0064, and 22-G-0065.

Q. Has DPS Staff accepted the Company's use of this methodology?

A. Yes. In addition to signing joint proposals adopting this methodology, Staff audits the Company's use of this methodology in its annual Customer Service Performance Report. As discussed in Staff's testimony, Staff has confirmed the accuracy of the Company's reported performance each year. And before this year, Staff had not contested the Company's methodology.

Q. Has the Company relied on the Commission's and DPS Staff's approval of this methodology in agreeing to past and current performance targets for the Call Answer Rate metric?

A. Yes. The calculation methodology for any given metric is a determining factor to establish performance targets. Given the current calculation methodology, the existing performance targets are within reason and provide challenging standards for the Company to deliver high levels of service. But any change in the methodology would require revising the performance targets associated with this metric.

Q. What changes did Staff recommend in the methodology for the Company's Call Answer Rate metric?

A. Staff recommended changing the methodology to reflect the Call Answer Rate formula in the Commission's Order Adopting Revisions to Customer Service Reporting Metrics, issued August 4, 2017, in Case 15-M-0566. Under that order the metric would be calculated based on the number of calls answered within 30 seconds divided by the difference between the number of total calls requesting a representative and the number of such calls abandoned within 30 seconds.

Q. What reasons did Staff give for recommending this change?

A. Staff recommended this change on the basis that the current methodology does not account for calls abandoned within 30 seconds, which does not align with the Metrics Order or with other utilities.

Q. Does the Company agree with Staff's recommendation?

A. No. The Company's current methodology is accepted within the customer service industry, and this methodology and its associated performance targets have proven successful at providing the Company with an appropriate incentive to provide customers with a high level of customer service. Changing the methodology will introduce an unnecessary

level of uncertainty into how the Company deploys resources to meet these performance targets.

Q. Would the Company's performance on the Call Answer Rate metric have been different if this new methodology had been employed in previous years?

A. Yes.

Q. How so?

A. As shown in Exhibit__(CO-24) Call Answer Rate Under New Methodology Comparison, the Company's reported performance levels would have been lower under the new methodology than they were under the existing methodology, on the order of 6 to 12 percentage points per year.

Q. Why would the results have been different?

A. The difference in results is driven by the change to the denominator in the reporting formula. For at least the last 15 years, the Company has calculated the formula by dividing the number of calls answered by a representative within 30 seconds by the total number of calls answered by a representative. The new formula would change the denominator to the total number of calls requesting a representative minus the number of such calls abandoned by the customer within 30 seconds, i.e., those for which the

Company did not have a full 30 seconds to answer the call. This new denominator is, by definition, larger than the existing denominator, which results in a lower overall percentage calculation for the same level of performance.

Q. Under Staff's methodology, what would the Company's performance targets be?

A. Using Staff's "traditional methodology" to set performance targets two standard deviations below the historical five-year performance average, the minimum threshold level would be 46.70 percent. Thus, if Staff's methodology were to be adopted, performance targets must be revised to align with a relevant historical baseline.

Q. Does it make sense here to use the Company's historical performance levels to set new performance targets?

A. Yes. The Company has met its performance targets under the existing methodology for four of the last five years. While the Company missed its performance target in 2022 by 3.9 percentage points, in the other four years it exceeded its performance targets by a total of 17.3 percentage points. Thus, overall, the Company's performance over the last five years represents what the Commission has found to be an acceptable level of customer service performance. For this

reason, the Company's historical performance provides a reasonable starting point for setting future performance targets under Staff's traditional methodology.

Q. What are the Company's current potential NRAs for its Call Answer Rate and Commission Complaints metrics?

A. For each metric, the minimum threshold NRA level is four basis points, with increasing threshold NRA levels of seven and 10 basis points.

Q. Have these potential negative revenue adjustments been consistent over time?

A. No. NRAs have consistently increased over time, including throughout the current rate period. Before 2023, the Commission's rate orders in the Company's rate cases expressed NRAs in fixed dollar amounts. The Commission's rate order in Cases 19-E-0065 and 19-G-0066 set the maximum NRA for the Customer Complaint Rate metric at $9 million and the maximum NRA for the Call Answer Rate metric at $5 million. Those numbers have since grown exponentially. In 2023, the Commission's rate order converted the NRA amounts from fixed dollar amounts to basis points. The maximum NRA for each metric in 2023 was six basis points, or $14.57 million each. The maximum NRA value then increased to nine

basis points ($22.92 million) for each metric in 2024 and ten basis points (forecast to be $28.19 million) for each metric in 2025. In other words, over the last three years, the Company's maximum exposure for these two metrics combined has more than quadrupled from $14 million to $56.38 million.

Q. What changes did Staff recommend in the potential negative revenue adjustments for the Company's Call Answer Rate and Commission Complaints metrics?

A. Staff recommended increasing the NRA basis point values for the Call Answer Rate and Commission Complaints metrics. Specially, Staff recommended increasing the initial NRA level for each metric from four to five basis points, the second-level NRA from seven to 10 basis points, and the maximum NRA from 10 to 15 basis points.

Q. What reasons did Staff give for its recommendation?

A. Staff recommended this change on the basis that it is consistent with the maximum NRA level of other New York utilities.

Q. Does the Company agree with Staff's recommendation?

A. No. Staff has not demonstrated that increases in NRAs for the Call Answer Rate and Commission Complaints metrics are

needed for the Company to continue to provide high-quality service to customers. For example, the Company has only one instance of not meeting any customer service performance target (Call Answer Rate in 2022) over at least the past 15 years. Additionally, justifying this increase in NRAs on the basis of consistency ignores differences across utilities, including varying performance levels and the Company's demonstrated strong performance. Further, this incremental 50 percent increase would be unreasonable given that the Company's amount at risk for these two metrics has already increased more than 300 percent over the last three years.

Q. What was Staff's recommendation with respect to the Company's proposal to not renew the ONIM?

A. The Staff Electric Resilience and Reliability Performance Mechanism Panel recommended that the Commission reject the Company's proposal.

Q. What reasons did Staff give for recommending this change?

A. Staff's rationale is not clear. Staff admitted in its testimony that Con Edison's Emergency Response Plan, filed with and approved by the Commission, "details all the requirements of the ONIM although it does not explicitly

reference the ONIM." Given this admission, it is not clear why it is necessary to maintain the ONIM in the Company's Customer Service Performance Mechanism in this rate proceeding when the requirements of the ONIM are already separately detailed in the Company's Emergency Response Plan and will remain in place even if the ONIM is removed here. Staff does not explain what purpose is served by this redundancy.

Compounding this confusion, Staff continued by suggesting that "Con Edison may petition the Commission seeking authority to remove the ONIM and its associated negative revenue adjustment from the Customer Service Performance Mechanism." Staff, however, does not explain why it makes sense to remove the ONIM being set in this proceeding through a separate petition but not directly in this rate proceeding. Staff also does not explain why it makes sense to maintain the ONIM in this proceeding only to have Con Edison separately petition for the ONIM's removal. Such a process would entail unnecessary work for the Company, Staff, and the Commission. Should these rate proceedings result in a negotiated settlement that maintains the ONIM, Con Edison also submits that an

immediate petition to undo part of that settlement would be inefficient and could contravene the expectations of any settling parties.

Q. Does the Company agree with Staff's recommendation?

A. No. In light of the foregoing, the Company maintains that it would be appropriate for Staff to recommend that the Commission address the ONIM within this rate proceeding.

B. Long-Term Estimated and Delayed Billing Metric

Q. Did the Staff Consumer Services Panel make any recommendations regarding the Company's proposal to continue its new Long-Term Estimated and Delayed Billing Metric?

A. Yes. Staff recommended (1) rejecting the Company's proposed changes to the existing exclusions from the metrics and (2) tightening the Company's performance targets for Metric 1, which applies to residential electric and gas customers and non-residential electric non-demand customers (excluding NYPA).

Q. What are the existing exclusions from the Company's long-term estimated and delayed billing metrics?

A. This metric excludes estimated and delayed bills for residential customers with non-AMI legacy meters who have

opted out of receiving an AMI meter and for non-residential customers and NYPA customers for whom the Company's Return to Utility (RTU) vendor has made five unsuccessful attempts to install an AMI meter.

Q. What changes did the Company propose to those exclusions?

A. The Company proposed two changes to those exclusions: first, the Company proposed to exclude estimated and delayed bills for non-residential and NYPA customers for whom the Company's vendor and/or Company employees have together made five unsuccessful attempts to install an AMI meter. For purposes of clarity, the exclusion would apply if, for example, the Company's RTU vendor made three such attempts and Company employees made two such attempts to the same customer. Second, the Company proposed to exclude estimated and delayed bills for accounts with defective or non-communicating meters for which the Company has engaged in the replevin process.

Q. Why did the Company propose those changes to the exclusions?

A. The Company proposed these changes to address the issue of access to customer premises.

With respect to the first proposed change, the Company has used both vendor and employee resources to install AMI meters, but the current exclusion applies only to vendor resources. For the purposes of this metric, there is no meaningful distinction between customers who have prevented vendors from installing meters and customers who have prevented Company employees from installing meters. This change, therefore, will exclude some additional customers who, in violation of the Company's tariffs, have hindered or prevented the Company from installing metering equipment that would enable the Company to issue more timely and accurate bills.

With respect to the second proposed change, the Company has encountered difficulties accessing customer premises to address issues with metering equipment that prevent the Company from issuing timely bills based on actual meter readings. This exclusion would apply only to those customers for whom the no-access conditions have been so persistent as to require the Company to take legal action to remove the defective or non-communicating meters.

Q. What reasons did Staff give for recommending that the Commission reject the Company's proposed changes?

A. Staff argued that they could not set reasonable targets for this metric if the proposed exceptions were approved because the Company is unable to quantify the impact of the proposed exceptions on historic performance.

Q. Do you agree with Staff's recommendation?

A. No. As to the first proposed change, putting Company employees on par with AMI installation contractors, there is no reason visits by Company employees to install AMI meters should be treated any differently than visits by Company contractors for purposes of this metric. Moreover, the Company has already produced data on the impact of excluding those accounts in Q1 2025 and found little effect on the Company's performance. As to the second proposed change, the Company has not previously leveraged replevin in these cases, so there is no need to recalculate past performance results. But as the existing exclusions recognize that the Company should not be penalized where customers' actions in violation of the Company's tariffs have prevented the Company from obtaining timely and accurate meter readings, so these cases should not count going forward.

Q. What data has the Company produced on the effects on its historical performance when including visits by Company employees in determining which customer accounts to exclude from the metrics?

A. In Table 1 of the Company's response to DPS-39-876-Supp1, the Company determined that the impact of this revised exclusion on Metric 1 (residential electric and gas customers and non-residential electric non-demand customers, excluding NYPA) for Q1 2025 would be to reduce the number of long-term estimated and delayed bills by 27. This would reduce the percentage of all Metric 1 bills meeting this condition by one thousandth of a percent, from 0.754 percent to 0.753 percent.

For the same period, the Company showed in Table 2 of the Company's response to DPS-39-876-Supp1 that the impact on Metric 2 (for electric non-residential demand, NYPA electric, and non-residential gas customers) would be to reduce the number of long-term estimated and delayed bills by 82. This would reduce the percentage of all Metric 2 bills meeting this condition by 19 thousandths of a percent, from 2.464 percent to 2.445 percent.

Q. What changes did Staff recommend to the Company's performance targets for Metric 1?

A. Staff proposed to reduce the initial target for Metric 1 from 1.77 percent to 1.34 percent.

Q. What reasons did Staff give for this recommendation?

A. Staff calculated the proposed target by calculating a two-year average and adding two standard deviations. Staff proposed that the reduced target is needed to drive the Company to provide customers with actual bills in a timely manner.

Q. Does the Company agree with Staff's recommendation?

A. No. As previously discussed regarding the Call Answer rate target, the use of two standard deviations with just two historical data points does not establish the 95 percent confidence interval that Staff has suggested is proper when setting performance targets based on historical data. While the Company has exceeded Staff's lower proposed target in both 2023 and 2024, the Company does not anticipate that a reduced target is needed to prevent an increase in estimated and delayed bills. And without more data, it is not yet appropriate to revise the agreed-upon performance targets.

Q. Did any other parties propose changes to the Company's long-term estimated and delayed billing metrics?

A. Yes. The New York City Billing Panel proposed (1) requiring the Company to report on the number of estimated bills issued each month and for two, three, and four months in a row; and (2) revising the metric's methodology to track the number of bills estimated for three months or more, rather than four months under the current metric.

Q. What reasons did New York City give for its recommendations?

A. New York City argued that because most customers have AMI meters, the Company should not produce estimated bills for more than two months.

Q. Does the Company agree with New York City's recommendations?

A. No. Regarding New York City's first proposal, the Company already provides granular detail of the incidence of estimated and delayed billing — broken out by customer type, service class, meter type, and whether the customer takes supply from an ESCO — in its reports under Section M.5 of the Joint Proposal approved in Cases 22-E-0064 and 22-G-0065. Regarding New York City's second proposal, the

Company does not find that New York City provided any compelling reason to change the metric to measure bills that are estimated for three months or more, instead of four months. Such a change would make it more difficult to set reasonable performance targets due to the lack of historical data, and changing the metric will prevent meaningful comparisons between the Company's performance in the 2023-2025 rate period and future rate periods.

V. Tariff Changes

Q. Did any party make recommendations with respect to the Company's proposal to extend the coincident demand billing structure to all customers with multiple AMI meters, eliminating its current restriction to customers on the Reactive Power Program at or above 500 kW of demand?

A. Yes. New York City, through Ms. Chait, was generally supportive of the Company's proposal to the extent that coincident demand billing reflects the demand that a customer imposes on the Company's electric distribution system. New York City, however, said that it does not support coincident demand billing if it does not reflect the demand that the customer imposes on the system, such as

where a customer with multiple AMI meters has locations on different electric feeders.

Q. Did New York City make any recommendations with respect to the Company's proposal?

A. Yes. New York City recommended that the Company determine for each potential participant that coincident demand billing reflects the demand that the customer imposes on the system. To that end, New York City suggested one approach would be to use criteria like those in the Company's Rider B for conjunctional billing, such as verification that the customer's premises are contiguous or connected by the customer's own distribution system.

Q. Does the Company agree with New York City's recommendation?

A. No. Since coincident demand is already calculated based on the location of the premises, the City's recommendation to confirm that coincident demand billing reflects the demand that the customer imposes on the system is unnecessary. The Company is not proposing to change the calculation of coincident demand. Rather, the Company is proposing to remove the demand threshold-based requirement on an account level, thereby allowing more customers to receive the benefits of coincident demand billing. While the City

proposes screening criteria similar to those in Rider B, which pertains to buildings or parts of buildings within an agreement, the definition of a premises would not be relevant to this recommended expansion of coincident billing.

VI. Account Management, Metering, and Billing Challenges

A. Estimated Billing

Q. Did any parties comment on the Company's estimated billing practices?

A. Yes. The City of New York Billing Panel outlined its ongoing concerns with the number of estimated bills that the City receives. The City acknowledged that the Company has significantly reduced the number of estimated bills it issues as a result of AMI and data handling, from a third or more in the past to just 6 percent now for electric service and less than 4 percent for gas service. Nevertheless, the City said it remained concerned by this reduced level of estimated billing, particularly for electric service. The City contended that some of these estimated bills are the result of non-communicating AMI meters or service disconnection issues and that these issues have persisted in spite of regular meetings with the

Company. The City also claimed that estimated billing hinders its ability to manage the City's finances. The City further claimed that the Company has not provided it with reasons for these estimated bills or the notices required when the Company cannot obtain access to a meter.

NYPA, through its witness Mr. Bowers, also wrote that its customers experience issues related to estimated billing.

Q. Does the Company agree with these concerns?

A. No. While the Company strives to issue bills based on actual meter readings whenever possible and – as the City acknowledged - has significantly reduced the incidence of estimated billing, it must continue to issue estimated bills in particular circumstances. These include instances when the Company cannot obtain access to either a legacy meter or a non-working/non-communicating AMI meter as well as periods where even a single AMI interval read is missing. To address these circumstances, the Company continues to proactively reach out to the City when an estimated bill issue has been identified and requires additional information to quickly resolve.

The Company has seen no evidence that estimated bills have had a sizeable impact on the City's financial management. In response to discovery requests, the City has declined to substantiate any of its claims that estimated billing has caused "significant cash flow issues" or impeded its ability to evaluate its energy usage. (See Exhibit__(CO-17), New York City's Response to Con Edison's Second Set of Information Requests, Questions 5 and 6.)

In addition, NYPA electric metered accounts consist of 13,621 AMI meters and 156 legacy meters, which require access by the tenant to read the meter or direction from the customer on meter location to bill the account. Although legacy meters represent only 1 percent of the total meters, they account for 25-30 percent of estimated bills. These estimated reads are primarily due to the Company not receiving access from the customer or access controller, unknown or changed meter locations, or the need for work on customer-owned equipment before the Company can replace a legacy meter with an AMI meter.

The Company has a robust notification and communication process with NYPA and the New York City Department of Citywide Administrative Services (DCAS). The

Company provides NYPA with a comprehensive daily transaction file for all activities across its 11,000 accounts and maintains regular communication with both NYPA and DCAS through emails and meetings to address account and billing inquiries. For meter-related concerns, the Company's Meter and Test and AMI teams meet with DCAS biweekly to review and resolve hardware and communication concerns. For billing concerns related to the Company's CC&B system, the Company meets separately with both NYPA and DCAS biweekly to address system-related issues.

Q. Did the City have additional comments specifically related to AMI meters?

A. Yes. Based on the Company's statements that it expects about 15,000 AMI meters to fail each year, apart from reasons like flooding, tampering, or construction, the City calculated that this represents a failure rate of 1,250 meters per month. The City then argued that because the Company had installed tens of thousands of meters each month during the conversion to AMI, it should be able to now replace each of those 1,250 meters within two months of failure. The City also argued that because the Company replaced legacy meters with AMI meters, it should no longer

have access issues that would prevent accurate, timely meter readings. Further, the City calculated the percentage of non-communicating meters in Exhibit__(NYCBP-3) at 2.4 percent and 2.9 percent for electric and gas meters, respectively, and noted no improvement has been made with electric meters with a 0.1 percent increase in communication issues in gas meters from March to April 2025.

Q. Does the Company agree with these statements?

A. No. The Company acknowledges that there will always be some non-communicating AMI meters that must be repaired or replaced of the 4.88 million AMI meters deployed in its service territory. In 2024, the Company replaced approximately 15,000 meters due to meter failure. On average, the Company replaced electric meters within 36 days of failure.

Regarding legacy meter replacement, Exhibit__(NYCBP-2) shows that there are 64 remaining legacy meters associated with DCAS premises as of April 2025. This number is a result of no-access issues, the need for customer work on the service before the Company can replace the meter, inability to locate the meter by either the Company or NYPA

(incomplete or out of date access instruction, missing knowledge from the access controller, etc.), and ongoing coordination of meter exchanges with account holders at the building level.

The City noted the lack of improvement in AMI communication issues and calculated non-communicating meter percentage in Exhibit__(NYCBP-3). This exhibit is unavailing for several reasons. First, it compared data for only two consecutive months and so does not provide any meaningful picture of the Company's performance over time. Second, this calculation incorrectly includes meters in service disconnect status. Service disconnect meters are not considered non-communicating, as they are out of service pending meter exchanges, ongoing construction work, or the resumption of service to buildings that are out of service. The accurately calculated communication rate of the meters reflected in Exhibit__(NYCBP-3) is 99.3 percent for electric, 99.0 percent for gas, and 99.3 percent for the total population.

Since the Company filed its last estimated and delayed billing report for Q1 2025 on April 30, 2025, it has continued to reduce the incidence of estimated and delayed

billing. For NYPA accounts, bill completeness has increased to 97.8 percent, unbilled accounts for more than 35 days have decreased to 1.7 percent, and estimated bills have decreased to 5.5 percent, as shown in Exhibit__(CO-25) NYPA Billing Data.

B. Unbilled Accounts

Q. Did any parties comment on the number of current unbilled accounts?

A. Yes. The New York City Billing Panel wrote the City has 90 electric and gas accounts that have not been billed for four months or more and argues that these unbilled accounts raise similar harms as those alleged for estimated bills. NYPA, through its witness Mr. Bowers, also wrote that its customers experience issues related to non-billing of accounts, which it said can lead to large monthly adjustments. NYPA cited broken meters, AMI connectivity failures, and meter access issues as reasons for these unbilled accounts.

Q. Does the Company agree with New York City's claim that 90 electric and gas accounts have been unbilled for four months or more?

A. No. The Company reviewed the 90 electric and gas accounts referenced and provided in the City of New York Responses to Information Requests Consolidated Edison No. 2, included in Exhibit__(CO-17). Of the 90 accounts, 79 accounts are either billed to date or are accounts which are no longer active. Of the remaining 11 active accounts, two accounts are awaiting termination, and the final nine accounts require internal investigation for resolution which may require access from the customer.

Q. Did the parties make any recommendations, not addressed in other sections of your testimony, related to the Company's estimated billing?

A. Yes. New York City recommended the Company take immediate action to rectify the unbilled accounts, but without resort to estimated billing.

Q. Does the Company agree with New York City's recommendation?

A. No. The Company has continued to work closely with the City to reduce the number of unbilled accounts, with positive results, as shown in Exhibit__(CO-25) NYPA Billing Data, and will continue to do so. In certain cases, a properly estimated bill may better enable the City to manage its

finances than no bill at all, so the Company should not necessarily avoid that interim solution where appropriate.

C. Billing Anomalies

Q. Did any parties comment on what it believed to be billing anomalies?

A. Yes. The New York City Billing Panel argued that the City frequently experiences billing anomalies related to abnormal readings due to faulty meters or excessively estimated readings, although these do not necessarily occur every month. The City contended that whenever it identifies an anomaly, it notifies the Company, and that 164 such anomalies are currently awaiting a response from the Company. The City further contended that the Company has not provided a timely response to these notifications and that, although the City and the Company had worked together successfully in the past, many of the people who were focused on these anomalies have been reassigned to other parts of the Company.

Q. Does the Company agree with the City's claims?

A. No. The Company is actively working to resolve outstanding anomalies and anticipates completion of the existing list by year-end with active DCAS support. Of the 55 aged

anomalies recently submitted by DCAS for review, 34 have been resolved and the remainder are under review.

The Company has also established a new distribution list to enhance the efficiency of the City's communication regarding billing anomalies. Upon receipt and review, all inquiries are promptly assigned to the appropriate party. The Company has requested additional resources to streamline this work, as outlined in the New York Power Authority Account Management section.

Q. Did the City make any recommendations regarding billing anomalies?

A. Yes. The City made five recommendations.

- The Commission should commence a formal investigation of the Company's new billing system and billing practices.
- The Commission should order the Company to provide complete explanations for all anomalous billing inquiries greater than six months old within one month of the date the Commission sets new rates.
- The Commission should require the Company to develop, file, and implement a corrective action plan to resolve

issues within no more than one month and future billing issues within no more than two months.

- The Commission should require Con Edison to file monthly reports detailing the actions taken and the number of billing issues resolved, with the reporting cadence to be reduced as appropriate.
- The Commission should impose financial consequences if the Company does not resolve billing issues in a timely manner.

Q. Does the Company agree with the City of New York's recommendations?

A. No. As a threshold matter, there is no objective definition of a billing anomaly. Such situations are, by definition, anomalous, and may therefore raise unique issues that may require time to investigate and address. For these reasons, it does not make sense to impose a one-size-fits-all solution on the variety of issues that may be encompassed within this term.

The Company disagrees with the City's recommendation of a formal investigation, as the Company has demonstrated significant strides in reducing the number of estimated and

delayed billing issues that might be included under the heading of billing anomalies.

Regarding the City's second recommendation, the Company is already actively working on review and resolution for outstanding anomalous billing inquiries, including those greater than six months old. But because each anomaly requires individual investigation and may raise issues unique to each customer and its gas or electric service, it is not appropriate to set a deadline that will apply to every case, no matter its novelty or complexity.

On the third recommendation related to a corrective action plan, the Company already has an established process to resolve billing inquiries, so a corrective action plan is unnecessary. The Company is seeking five permanent FTEs to staff the Meter to Bill Quality Assurance Team, which Staff recommended for approval. This team will be dedicated to identifying and resolving meter to bill issues and implementing process improvements as explained in Exhibit__(CO-05).

The City's fourth recommendation to file monthly reports to communicate actions taken is unduly burdensome

without justifiable benefit, given the number of billing issues that arise and are timely resolved in a service territory with nearly five million meters and the difficulty, noted above, of defining precisely what constitutes a billing anomaly.

Finally, the Commission should not impose financial consequences as the Company already has metrics with associated NRAs for estimated and delayed billing and so has sufficient incentive to resolve issues that may impede a customer's timely and accurate billing.

D. Account Opening, Closing, and Modification

Q. Did any parties provide comments with respect to the Company's timeliness in opening, closing, or modifying accounts?

A. Yes. The New York City Billing Panel described concerns with respect to the Company's processing of Service Billing and Modification Requests (SBMRs) – DCAS's official request forms - to open or close electric or gas accounts, transfer an account from one agency to another, or transfer an account from a third party to the City. These concerns included:

- Delays in taking action on or informing the City regarding a SBMR;
- Delays in seeing account modifications appear on the City's utility bills; and
- Uncertainty regarding the effectiveness of a new process implemented by the Company to track and process SBMRs, with acknowledgement of early positive improvements from this process.

Q. Does the Company agree with those concerns?

A. No. The Company has already implemented process improvements related to SBMRs, as the City acknowledges in its testimony, and is committed to resolving any outstanding issues. These process improvements include enhancing the SBMR workflow by adding extra support staff, establishing a designated distribution list, and collaborating with DCAS for accurate SBMR tracking. Additionally, in collaboration with DCAS, the Company has enhanced communications and implemented new processes, such as having DCAS file SBMRs when applying for new services instead of waiting until the meter is installed, which reduces the average time to complete a request.

The Company has also automated the SBMR tracking process. When the Company receives an SBMR by email, relevant information is automatically pulled into a tracking sheet for review, and emails are sent automatically when the SBMR is completed. In mid-May, DCAS provided a list of 187 outstanding SBMRs, excluding new service installations, of which 139 have been completed as of mid-June. The Company remains committed to working closely with DCAS to eliminate the backlog and achieve timely completion of future requests.

Q. Did the City make any recommendations regarding the Company's processes for opening, closing, and transferring accounts?

A. Yes. The City recommended the Company implement the following steps if it does not make further progress over the next five to six months:

- Improve communications with the City when an SBMR is processed. The City recommended 10 business days for processing and acknowledgement of all SBMR requests except "New Account/New Meter" requests and 20 business days initially and monthly thereafter for "New

Account/New Meter" requests, as well as monthly status updates for SBMRs older than one year.

- Significantly shorten the time to process SBMRs and open, close, or modify accounts; and
- Track and report to the Commission monthly until the backlog of requests is fully resolved, then every six months thereafter, regarding the time it takes to process requests to open, close, or modify accounts, measured from the date of the initial request to when bills are issued, or cease to be issued, for the accounts.

Q. How does the Company respond to the City's recommendation to improve communications regarding SBMR processing?

A. As previously stated, the Company is committed to working closely with DCAS, has implemented several processes for ongoing improvement, and continues to address any outstanding SBMRs.

To address the remaining SBMRs, the Company has added support staff, established a designated distribution list, and collaborated with DCAS for accurate tracking. As a result, the Company has completed 75 percent of the SBMRs identified by DCAS and is now addressing more recent requests that require additional follow-up. To keep up with

new and existing work, the Company has requested additional resources to address these and other needs of NYPA customers, including New York City, as discussed above and outlined in Exhibit__(CO-06).

Regarding the request for processing and acknowledgement of completion to the City within 10 business days for all SBMR types except "New Account/New Meter" requests, the Company has already implemented an automated tracking process. As part of the process, an email is sent once an SBMR is completed. Additionally, the Company maintains regular communication with NYPA and its customers about outstanding and completed work.

Regarding the request for feedback on the status of the request within 20 business days for "New Account/New Meter" requests, the Company is actively working with NYPA and other internal departments to address these requests. This communication requires full-time support, for which the Company has requested a dedicated Energy Services Customer Project Manager, as detailed in Exhibit__(CO-06).

Regarding the request for monthly status updates for aged SBMRs, the Company already maintains regular communication with DCAS, providing updates when SBMRs are

completed and addressing questions on outstanding requests. Adding monthly status updates to this existing communication process would be unduly burdensome and unnecessary.

Q. How does the Company respond to the City's recommendation to significantly shorten the time to process SBMRs and open, close, or modify accounts?

A. The Company is actively addressing new and outstanding SBMR requests. While some SBMRs are straightforward and can be completed the same day, others require more time. While the Company has made significant progress to date, additional resources are required to maintain this progress.

Q. How does the Company respond to the City's request regarding reporting the time it takes to process requests to open, close, or modify accounts?

A. As previously mentioned, the Company is diligently working to address all outstanding requests, which have already been reduced by 75 percent. Implementing monthly reporting while addressing the remaining SBMRs would be unduly burdensome and would take resources away from satisfying DCAS's requests. Reporting every six months thereafter

would require additional support and take time away from the same personnel working to resolving these issues.

E. Advanced Metering Infrastructure

Q. Did any parties express concerns about the Company's communications regarding its Advanced Metering Infrastructure meters, also known as smart meters?

A. Yes. Assemblymember Chris Burdick noted several concerns about AMI. Assemblymember Burdick said that he supported the deployment of AMI, noting that it results in fewer estimated bills, saves money, and helps the environment. He noted, however, that some of his constituents have complained about erroneous readings, the Company's failure to investigate complaints, and occasional reports of rude or dismissive Company representatives.

Q. Do you share Assemblymember Burdick's concerns?

A. The Company finds it challenging to respond to these concerns without specific examples or data. As Assemblymember Burdick acknowledged, many complaints can result from customers' misunderstanding of the technology or making incorrect assumptions or conclusions. As noted in the Company's response to MOA-Burdick-6-28, the Company has received, investigated, and responded to 908 meter accuracy

complaints since 2022. Only four electric meters and 12 gas meters tested in the field fell outside the acceptable accuracy range, all for reasons unrelated to the AMI smart meter component. However, even AMI meters can experience errors, and the Company seeks to investigate potential errors in a timely fashion.

Regarding Assemblymember Burdick's complaint regarding unfriendly CSRs, the Company acknowledges there will be instances where a customer service experience could be improved upon and continuously looks for opportunities to develop staff and make every customer interaction a positive one. The Company has a robust program for call sampling and listening to help coach employees and find opportunities to improve. Additionally, as discussed above, the Company is subject to customer satisfaction metrics with potential penalties of tens of millions of dollars, which provides the Company significant incentive to provide high levels of customer service.

Q. Did Assemblymember Burdick make any specific recommendations regarding the Company's smart meter program?

A. Yes. Assemblymember Burdick recommended Con Edison devote courteous and trained staff to handle customer complaints as well as greater willingness to send a technician to investigate issues in the field. He also recommended transparency around the accuracy of smart meters, including when testing occurs.

Q. Does the Company agree with Assemblymember Burdick's recommendations?

A. To a point. Both new and existing CSRs are already trained across a number of programs and topics, including AMI, with a priority on helpful and courteous customer service. The Company does investigate when it receives a meter accuracy complaint, and the proposed Meter and Billing QA team will help to further reduce identified inaccuracies related to metering. Smart meter models are subject to approval by the Commission before they can be deployed and are randomly tested but, as noted above, individual meters can later fail. This is why the Company seeks more FTEs for meter and billing resources, including to respond to metering complaints and to replace meters in locations with no-access challenges that prevent Company employees and contractors from replacing nonfunctioning meters.

* * *

Q. Does this Panel's non-discussion of any other issue raised, or recommendation made by another party to this proceeding constitute agreement with that other party?

A. No.

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.